



**Interim Report of the
Dino Polska S.A. Group
for H1 2018**

Dino Polska Spółka Akcyjna („Dino”, „Company”, „parent company”) joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. Taxpayer Identification Number [NIP]: 6211766191, Statistical Number [REGON]: 300820828.

The Company's share capital as at 30 June 2018 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document (“Interim H1 2018 Report”, “Report”) comprises the interim condensed consolidated financial statements of the Dino Polska S.A. Group (“Group”, “Dino Group”) for the 6-month period ended 30 June 2018 (“Financial statements”), the Company's interim condensed financial statements for the 6-month period ended 30 June 2018 and additionally the information required by the pertinent legal regulations.

Unless specified otherwise, the data in this Report comes from Dino. This document was prepared on 21 August 2018 (“Report Date”).

Unofficial translation. Only the original Polish text is binding.

TABLE OF CONTENTS

1. Dino Group's financial highlights	4
2. Management Board Activity Report	5
2.1. Operations of the Dino Group	5
2.1.1. Business profile	5
2.1.2. Recap of the Dino Group's operations in H1 2018	6
2.1.3. Factors impacting Dino's operations and results.....	11
2.1.4. Threats and risks related to the other months of the year	12
2.2. Shareholders of the Company and shares held by management board and supervisory board members	14
2.3. Group – general information and description of the changes in its organization	15
2.4. Other information	15
3. Management Board's representations	18
4. Appendices.....	19
4.1. Interim condensed consolidated financial statements of the Dino Polska S.A. Group for the 6-month period ended 30 June 2018	
4.2. Interim condensed financial statements of Dino Polska S.A. for the 6-month period ended 30 June 2018	
4.3. Auditor's report on the review of the financial statements	

1. DINO GROUP'S FINANCIAL HIGHLIGHTS

	6 months period ended 30 June		6 months period ended 30 June	
	2018	2017	2018	2017
	PLN '000		EUR '000*	
under IFRS, audited				
Sales	2 709 072	2 018 398	639 007	475 208
Operating profit	176 957	114 372	41 740	26 928
Profit before tax	156 459	96 659	36 905	22 757
Net profit for the year	126 455	77 142	29 828	18 162
Basic / Diluted earnings per share (PLN, EUR)	1,29	0,79	0,30	0,19
Net cash flows from operating activities	204 353	125 274	48 202	29 494
Net cash flows from investing activities	(278 495)	(171 097)	(65 691)	(40 283)
Net cash flows from financing activities	61 603	22 445	14 531	5 284
Net increase/(decrease) in cash and cash equivalents	(12 539)	(23 378)	(2 958)	(5 504)

*Based on average EUR/PLN exchange rate at the end of each month in first half of the year published by the National Bank of Poland (1 EUR = 4,2395 PLN in 2018 and 1 EUR = 4,2474 PLN in 2017)

	As at		As at	
	6/30/2018	12/31/2017	6/30/2018	12/31/2017
	PLN '000		EUR '000**	
under IFRS, audited				
Total assets	2 669 315	2 451 329	612 004	587 722
Total non-current assets	2 037 179	1 807 964	467 071	433 471
Total current assets	632 136	643 365	144 932	154 251
Total equity	1 030 948	904 493	236 369	216 858
Share capital	9 804	9 804	2 248	2 351
Total liabilities	1 638 367	1 546 836	375 634	370 864
Total long-term liabilities	647 138	575 883	148 372	138 072
Total current liabilities	991 229	970 953	227 263	232 792

**Based on the average EUR/PLN exchange rate of the National Bank of Poland as at 31.12.2018 (1 EUR = 4,3616 PLN) and 31.12.2017 (1 EUR = 4,1709 PLN)

2. MANAGEMENT BOARD ACTIVITY REPORT

2.1. Operations of the Dino Group

2.1.1. Business profile

Dino Polska is one of the fastest growing networks in the overall retail grocery market in Poland (measured by the number of stores and revenues). Dino's business model combines the advantages of the format provided to customers by medium-sized stores situated in convenient locations, in most cases close to their places of residence or featuring much more traffic, with the ability to open new stores quickly and an attractive product range, comprising primarily branded and fresh products at competitive prices.

As at 30 June 2018, Dino's network consisted of 849 stores located predominantly in western Poland with a total selling area of 324,913 m². The Dino Group has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 439 in the period from the beginning of 2015 to 30 June 2018. Its network expansion has been accompanied by significant like for like (LFL) revenue growth in its existing store network, which in H1 2018 stood at 14.7% compared to the corresponding period of last year. The Dino Group continues to develop its network, consistently looking for new sites for its stores. In accordance with the Dino Group's strategy, the Company's Management Board plans to exceed 1,200 stores by the end of 2020.

Dino stores have a uniform format. Most stores have a selling area of roughly 400 square meters and are located chiefly in small communities, small and medium cities and in the peripheries of large cities. Dino's operating strategy is based on a standard store design, equipped with parking places for its customers and supplied with fresh products every day of the week (except for Sundays).

Each store offers its customers approx. 5,000 stock keeping units (SKUs), mostly well-known branded products with emphasis placed on its fresh product offering. Every store has a staffed meat counter. The Dino Group offers products at competitive prices.

Dino Group's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on three distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They enable Dino to make purchases on favorable terms that should improve steadily as the sales network continues to expand. These drivers consistently enhance the Dino Group's profitability.

The Dino Group strategy assumes further growth through focus on three key areas:

- continuation of rapid organic growth in the number of stores – Dino plans to exceed the number of 1,200 stores in operation by the end of 2020. The Dino Group intends to take advantage of opportunities to grow the network organically in its existing form through: (i) increasing store penetration in existing areas, and (ii) gradual expansion in the northern and eastern parts of Poland.
- continuing to grow LFL sales revenues in the existing store network – to continue growing LFL sales revenues in the existing store network the Dino Group will take actions to augment customer traffic in Dino stores and the basket value per customer.
- consistent improvement of profitability – in 2014-2017 the Dino Group generated sustainable growth of the gross margin on sales and EBITDA margin. The aim is to continue to improve profitability thanks to increasing scale of operations, favorable business model and strategic initiatives undertaken by the Dino Group.

2.1.2. Recap of the Dino Group's operations in H1 2018

In H1 2018, the Dino Group's revenues totaled PLN 2,709.1 million and were PLN 690.7 million, i.e. 34.2%, higher than in H1 2017. At the same time, the cost of sales increased 33.2% to PLN 2,078.3 million, as a result of which the gross margin was 23.3%, i.e. 0.6 percentage points above H1 2017. EBITDA¹ rose 37.7% year on year to PLN 229.0 million. The EBITDA margin was 8.5%, up 0.2 percentage points from H1 2017.

In Q2 2018 the Dino Group's revenues were PLN 1,423.5 million, meaning they were up by PLN 315.4 million, i.e. 28.5% higher than in Q2 2017. At the same time, the cost of sales increased 27.0% to PLN 1,090.2 million, as a result of which the gross margin was 23.4%, i.e. 0.9 percentage points above Q2 2017. EBITDA² rose 27.4% year on year to PLN 124.6 million. The EBITDA margin was 8.8%, down 0.1 percentage points from Q2 2017.

The following table presents selected consolidated profit and loss account line items³

(PLN 000s)	Q2 2018	Q1 2018	Q4 2017	Q3 2017	Q2 2017	Q1 2017	Change H1 2018 / H1 2017	Change Q2 2018 / Q2 2017
Sales revenues	1,423,488	1,285,584	1,277,364	1,220,171	1,108,063	910,335	34.2%	28.5%
Cost of sales	(1,090,177)	(988,119)	(977,682)	(937,556)	(858,315)	(701,744)	33.2%	27.0%
Gross profit on sales	333,311	297,465	299,682	282,615	249,748	208,591	37.6%	33.5%
Other operating income	1,689	1,394	1,834	625	736	476	154.4%	129.5%
Sales and marketing expenses	(222,815)	(206,280)	(185,095)	(183,121)	(160,725)	(149,746)	38.2%	38.6%
General administration expenses	(13,980)	(12,921)	(12,361)	(13,344)	(21,417)	(12,903)	-21.6%	-34.7%
Other operating expenses	(514)	(392)	(1,617)	(348)	(292)	(96)	133.5%	76.0%
Operating profit	97,691	79,266	102,443	86,427	68,050	46,322	54.7%	43.6%
Financial income	(15)	162	514	1	42	98	5.0%	-135.7%
Financial costs	(10,506)	(10,139)	(10,649)	(9,379)	(9,438)	(8,415)	15.6%	11.3%
Profit before tax	87,170	69,289	92,308	77,049	58,654	38,005	61.9%	48.6%
Income tax	(16,663)	(13,341)	(19,388)	(13,507)	(11,967)	(7,550)	53.7%	39.2%
Net profit	70,507	55,948	72,920	63,542	46,687	30,455	63.9%	51.0%

Sales revenues

Significant top line improvement is the outcome of Dino's store network roll-out to open new stores and growing revenues in the existing store network (like for like, LfL)⁴. LfL sales growth in H1 2018 was 14.7%, compared to the corresponding period of 2017. In H1 2017 LfL sales growth was also 14.7%.

In Q2 2018 LFL sales growth was 10.0%. The lower pace of LfL sales growth in Q2 2018 versus Q1 2018 ensues from the shift in the Easter holidays from Q2 (in 2017) to Q1 (in 2018).

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's existing store network.

%	H1 2018	Q2 2018	Q1 2018	H1 2017	Q2 2017	Q1 2017	2017	2016	2015
Inflation (deflation).....	1.6	1.7	1.5	1.9	1.8	2.0	2.0	(0.6)	(0.9)
Food price inflation.....	3.6	3.2	3.9	3.4	3.4	3.4	4.6	0.8	(1.7)
Dino's LFL	14.7	10.0	20.3	14.7	16.5	12.6	16.2	11.3	5.1

¹ EBITDA, net of the non-recurring costs associated with the Company's IPO totaling PLN 12,272 thousand in H1 2017

² EBITDA, net of the non-recurring costs associated with the Company's IPO totaling PLN 9,311 thousand in Q2 2017

³ The data for Q1-Q2 2017 have not been adjusted for one-offs related to the IPO

⁴ stores are included in the calculation of LfL revenues starting from the 13th full month of their existence

Fresh products, including meat, cold cuts and poultry, accounted for 37.8% of the Group's sales in Q2 2018 and for 38.0% in H1 2018, i.e. signifying growth of 1.1 percentage points and 1.0 percentage point in relation to the corresponding periods of 2017.

The table below shows the structure of sales revenues by product in individual periods.

%	H1 2018	H1 2017	Q2 2018	Q2 2017
Fresh products.....	38.0	37.0	37.8	36.7
Dry grocery products, beverages, alcohol and cigarettes.....	49.5	50.4	49.8	50.7
Non-grocery products	12.5	12.6	12.4	12.6

Dino's store network roll-out

In Q2 2018, 49 new Dino stores were launched, 11 more than last year. In total, in H1 2018, the Dino network grew by 74 stores versus 49 in the corresponding period of last year. As at 30 June 2018, the Dino network numbered 849 stores, 172 more than last year.

The following table presents information on the Dino Group's number of stores as at specified dates.

	Number of stores as at 30 June		Number of stores as at 31 December		
	2018	2017	2017	2016	2015
Number of new store openings in H1 / year	74	49	147	123	101
Total number of stores	849	677	775	628	511
Total selling area (m ²).....	324,913	257,123	295,226	238,416	191,579
Growth of sales area y/y	26.4%	22.7%	23.8%	24.4%	26.4%

Cost of sales

The cost of sales was 76.7% and 77.3% of revenue, respectively in H1 2018 and H1 2017. The cost of sales rose PLN 518.2 million, i.e. by 33.2% to PLN 2,078.3 million in H1 2018 compared to PLN 1,560.1 million in H1 2017, with a 34.2% increase of sales revenues. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino Group's store network and rising sales in the existing store network (LFL).

Sales and marketing expenses

Sales and marketing expenses grew by PLN 118.6 million, i.e. 38.2% to PLN 429.1 million in H1 2018 compared to PLN 310.5 million in H1 2017. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising LFL sales in its existing store network, thereby necessitating higher costs associated with store upkeep, storage of merchandise and marketing.

General administration expenses

General administration expenses rose PLN 4.9 million in H1 2018 and PLN 1.9 million in Q2 2018 versus the corresponding periods of 2017 (after adjusting for the non-recurring costs related to running Dino's IPO of PLN 12,272 thousand in H1 2017 and PLN 9,311 thousand in Q2 2017), or 22.0%, to PLN 26.9 million in H1 2018 compared to PLN 22.0 million in H1 2017 and 15.5% in Q2 2018 to PLN 14.0 million from PLN 12.1 million. This was caused mainly by the expansion of the Dino Group's store network (some administrative functions expanded in line with the Dino Group's store network's rollout).

Costs by nature

The following table presents costs by nature⁵.

(PLN 000s)	Q2 2018	Q1 2018	Q4 2017	Q3 2017	Q2 2017	Q1 2017	Change H1 2018 / H1 2017	Change Q2 2018 / Q2 2017
Depreciation and amortization	26,924	25,106	23,780	22,498	20,418	19,176	31.4%	31.9%
Consumption of materials and energy	118,610	112,827	123,560	121,624	108,869	90,054	16.3%	8.9%
External services	57,686	51,978	45,919	46,255	39,877	36,039	44.5%	44.7%
Taxes and fees	7,773	7,530	5,903	6,094	6,238	5,673	28.5%	24.6%
Costs of employee benefits	157,991	142,142	131,993	122,894	111,288	100,519	41.7%	42.0%
Other costs by nature	4,489	3,386	4,197	5,789	3,666	3,242	14.0%	22.4%
Cost of goods and materials sold	955,853	864,236	838,508	806,899	742,041	609,459	34.7%	28.8%
Total costs by nature, including:	1,329,326	1,207,205	1,173,860	1,132,053	1,032,397	864,162	33.7%	28.8%
Items captured in cost of sales	1,090,177	988,119	977,682	937,556	858,315	701,744	33.2%	27.0%
Items captured in sales and marketing expenses	222,815	206,280	185,095	183,121	160,725	149,746	38.2%	38.6%
Items captured in general administration expenses	13,980	12,921	12,361	13,344	12,106	9,942	22.0%	15.5%
Movement in products	2,354	-115	-1,278	-1,968	1,251	2,730	-43.8%	88.2%

Total costs by nature, adjusted for the IPO-related non-recurring expenses (a total of PLN 12,272 thousand in H1 2017) rose PLN 640.0 million, or 33.7%, to PLN 2,536.5 million in H1 2018 versus PLN 1,896.6 million in H1 2017, mainly as a result of higher: (i) costs of merchandise and materials sold (up PLN 468.6 million), (ii) costs of employee benefits (up PLN 88.3 million), (iii) consumption of materials and energy (up PLN 32.5 million) and (iv) external services (up PLN 33.7 million). This growth was caused mainly by the expansion of the Dino Group's store network and rising sales in the existing store network (LFL).

The costs of employee benefits after adjustment for the non-recurring IPO-related expenses (PLN 10,334 thousand in H1 2017) rose PLN 88.3 million, i.e. 41.7% to PLN 300.1 million in H1 2018 compared to PLN 211.8 million in H1 2017). This growth resulted primarily from the higher number of Dino Group employees from 11,420 as at 30 June 2017 to 14,803 as at 30 June 2018 in connection with the Dino Group's expanding business size and the related expansion of the Dino Group's store network and rising LFL sales in the existing store network and, to a lesser extent, from the higher average salary in the Dino Group.

Consumption of materials and energy climbed PLN 32.5 million, or 16.3%, to PLN 231.4 million in H1 2018 compared to PLN 198.9 million in H1 2017. This growth was caused mainly by higher consumption of materials and raw materials in connection with the Dino Group's expanding business size and the expansion of the Dino Group's store network and rising LFL sales in the existing store network.

External services, which comprised in particular transportation services, lease and tenancy services, and maintenance services, after adjustment for the non-recurring IPO-related expenses (PLN 1,493 thousand in H1 2017) increased by PLN 33.7 million, or 44.5%, to PLN 109.7 million in H1 2018 compared to PLN 75.9 million in H1 2017. This growth was caused mainly by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising LFL sales in the existing store network, and to a lesser extent the uptick in transport expenses ensuing from high fuel prices.

⁵ the data have been adjusted for IPO-related one-offs: i.e. in Q1 2017 for PLN 2,691 thousand (PLN 998 thousand as external services, PLN 1,948 thousand as costs of employee benefits, PLN 15 thousand in other costs by nature); in Q2 2017 for PLN 9,311 thousand (PLN 495 thousand as external costs, PLN 8,386 thousand as employee benefits, PLN 430 thousand as other costs by nature);

Financial costs

The Dino Group's financial expenses rose PLN 2.8 million, or 15.6%, to PLN 20.6 million in H1 2018 compared to PLN 17.9 million in H1 2017. This growth was caused mainly by the higher amount of interest on loans and borrowings as a result of the Group's growing business and the related expansion of the Dino Group's store network and rising LFL sales in the existing store network.

Balance sheet – assets

(PLN 000s)	30/06/2018	31/03/2018	31/12/2017	30/09/2017	30/06/2017	31/03/2017	Change 30.06.18 / 31.12.17	Change 30.06.18 / 30.06.17
Property, plant and equipment	1,931,438	1,787,708	1,697,600	1,593,249	1,496,962	1,386,389	13.8%	29.0%
Intangible assets	93,509	92,771	92,774	91,677	92,200	92,510	0.8%	1.4%
Deferred tax assets	12,206	14,600	17,560	22,275	23,158	21,919	-30.5%	-47.3%
Total non-current assets	2,037,179	1,895,107	1,807,964	1,707,233	1,612,320	1,500,818	12.7%	26.4%
Inventories	376,425	351,510	368,262	294,521	306,906	290,707	2.2%	22.7%
Trade and other receivables	19,545	20,677	37,991	17,945	29,253	19,155	-48.6%	-33.2%
Income tax receivables	139	96	77	44	30	603	80.5%	363.3%
Other non-financial assets	45,940	44,363	34,409	27,906	36,856	32,395	33.5%	24.6%
Cash and cash equivalents	190,087	178,027	202,626	60,207	43,050	36,425	-6.2%	341.5%
Total current assets	632,136	594,673	643,365	400,623	416,095	379,285	-1.7%	51.9%
TOTAL ASSETS	2,669,315	2,489,780	2,451,329	2,107,856	2,028,415	1,880,103	8.9%	31.6%

Total assets increased by PLN 218.0 million, i.e. 8.9%, from PLN 2,451.3 million as at 31 December 2017 to PLN 2,669.3 million as at 30 June 2018. Compared to 30 June 2017, total assets rose by PLN 640.9 million, or 31.6%.

As at 30 June 2018, the main components of total assets were: (i) property, plant and equipment (constituting 72.4%), (ii) inventories (constituting 14.1%), (iii) cash and cash equivalents (constituting 7.1%) and (iv) intangible assets (constituting 3.5%).

Non-current assets rose by PLN 229.2 million, i.e. 12.7%, from PLN 1,808.0 million as at 31 December 2017 to PLN 2,307.2 million as at 30 June 2018. Compared to 30 June 2017, non-current assets rose by PLN 424.9 million, or 26.4%. In both cases this growth was caused mainly by higher property, plant and equipment which, in turn, was caused primarily by the Dino Group's network rollout (new Dino stores) and capital expenditures.

Current assets fell by PLN 11.2 million, or 1.7%, from PLN 643.4 million as at 31 December 2017 to PLN 632.1 million as at 30 June 2018. This decline was caused by the balance of trade receivables and other receivables being down (PLN 18.4 million) and the decline of cash and cash equivalents by PLN 12.5 million (linked to the calendar effect and the seasonality of sales), which was partially offset by the growth of inventories of PLN 8.2 million and other non-financial assets of PLN 11.5 million.

Compared to 30 June 2017, current assets rose PLN 216.0 million, i.e. 51.9% primarily as a result of higher: (i) cash and cash equivalents (up PLN 147.0 million) and (ii) inventories (up PLN 69.5 million) which was caused mainly by the Dino Group's expanding business size.

Balance sheet – liabilities and equity

(PLN 000s)	30/06/2018	31/03/2018	31/12/2017	30/09/2017	30/06/2017	31/03/2017	Change 30.06.18 / 31.12.17	Change 30.06.18 / 30.06.17
Equity	1,030,948	960,441	904,493	831,660	768,118	713,962	14.0%	34.2%
Share capital.....	9,804	9,804	9,804	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital.....	1,307,272	1,111,860	1,111,860	1,111,860	1,111,860	790,168	17.6%	17.6%
Retained earnings.....	(293,628)	(168,723)	(224,671)	(297,504)	(361,046)	(86,010)	-	-
Other equity.....	7,500	7,500	7,500	7,500	7,500	-	0.0%	0.0%
Total equity	1,030,948	960,441	904,493	831,660	768,118	713,962	14.0%	34.2%
Interest-bearing loans and borrowings and finance lease liabilities.....	537,295	502,729	470,590	490,626	508,545	487,167	14.2%	5.7%
Other liabilities.....	240	240	270	270	270	270	-11.1%	-11.1%
Liabilities by virtue of outstanding securities	99,789	99,770	99,749	0	0	0	0.0%	-
Provisions for employee benefits.....	1,231	1,230	1,231	1,115	1,115	1,115	0.0%	10.4%
Provision for deferred tax liability.....	8,156	7,138	3,495	3,432	6,280	6,206	133.4%	29.9%
Accruals and deferred revenue.....	427	487	548	70	75	81	-22.1%	469.3%
Total non-current liabilities	647,138	611,594	575,883	495,513	516,285	494,839	12.4%	25.3%
Trade and other payables.....	804,814	727,035	811,322	601,337	585,043	531,859	-0.8%	37.6%
Current part of interest-bearing loans and borrowings and finance lease liabilities.....	134,883	145,295	117,074	147,358	124,875	112,531	15.2%	8.0%
Liabilities by virtue of outstanding securities	637	637	654	0	0	0	-2.6%	
Income tax liabilities.....	21,522	20,161	20,729	14,362	15,530	4,241	3.8%	38.6%
Accruals and deferred revenue.....	29,023	24,266	20,824	17,400	18,338	14,831	39.4%	58.3%
Provisions for employee benefits and other provisions.....	350	351	350	226	226	7,840	0.0%	54.9%
Total current liabilities	991,229	917,745	970,953	780,683	744,012	671,302	2.1%	33.2%
Total liabilities	1,638,367	1,529,339	1,546,836	1,276,196	1,260,297	1,166,141	5.9%	30.0%
TOTAL EQUITY AND LIABILITIES	2,669,315	2,489,780	2,451,329	2,107,856	2,028,415	1,880,103	8.9%	31.6%

As at 30 June 2018, the main components of liabilities were: (i) trade and other payables (current part) representing 49.1%; (ii) interest bearing loans, borrowings and liabilities under financial lease agreements (non-current portion) representing 32.8% of total liabilities and (iii) current part of interest-bearing loans and liabilities under financial lease agreements representing 8.2%.

Total liabilities rose PLN 91.5 million, i.e. 5.9%, from PLN 1,546.8 million as at 31 December 2017 to PLN 1,638.4 million as at 30 June 2018. Total liabilities rose by PLN 378.1 million, i.e. 30.0% from PLN 1,260.3 million as at 30 June 2017 to PLN 1,638.4 million as at 30 June 2018.

Non-current liabilities increased by PLN 71.3 million, or 12.4%, from PLN 575.9 million as at 31 December 2017 to PLN 647.1 million as at 30 June 2018, predominantly as a result of higher interest-bearing loans and borrowings and liabilities under financial lease agreements (by PLN 66.7 million) caused by the expansion of the Dino Group's store network.

Compared to 30 June 2017, non-current liabilities rose PLN 130.9 million, or 25.3%, due to the expansion of the Dino Group's store network.

Current liabilities rose PLN 20.3 million, i.e. 2.1% from PLN 971.0 million as at 31 December 2017 to PLN 991.2 million, chiefly as a result of the current portion of interest-bearing loans and borrowings and finance lease liabilities (up PLN 17.8 million).

Compared to 30 June 2017, current liabilities increased by PLN 247.2 million, or 33.2%, driven predominantly by an increase in trade and other payables (by PLN 219.8 million mainly as a result of the expansion of the Dino Group's scale of business).

The Dino Group's net debt⁶ stood at PLN 581.9 million as at 30 June 2018, signifying growth of PLN 97.1 million compared to 31 December 2017 and a dip of PLN 8.5 million compared to 30 June 2017. The net debt to EBITDA ratio for the last 12 months was 1.3x as at 30 June 2018.

Cash flows

(PLN 000s)	Q2 2018	Q1 2018	Q4 2017	Q3 2017	Q2 2017	Q1 2017
Net cash from operating activities, including:	160,838	43,515	235,165	136,765	94,228	31,046
profit before tax	87,170	69,289	92,308	77,049	58,654	38,005
depreciation and amortization	26,924	25,106	23,780	22,498	20,418	19,176
movement in working capital	42,123	(47,319)	107,440	43,844	4,087	(24,187)
other	4,621	(3,561)	11,637	(6,626)	11,069	(1,948)
Net cash from investing activities	(160,185)	(118,310)	(124,201)	(106,845)	(88,219)	(82,878)
Net cash from financing activities	11,407	50,196	31,455	(12,763)	616	21,829
Net increase in cash and cash equivalents	12,060	(24,599)	142,419	17,157	6,625	(30,003)

The Dino Group generated net operating cash flow in H1 2018 totaling PLN 204.4 million. In H1 2017 it was PLN 125.3 million. The increase in net cash from operating activities was driven mainly by the higher magnitude of the Dino Group's business, i.e. predominantly the growing top line following from expansion of the store network and rising LFL sales in the existing store network. Top line growth was higher than the corresponding increase in operating expenses and the related expenditures.

Net cash flow from investing activities totaled PLN -278.5 million in H1 2018 and was up PLN 107.4 million, or by 62.8% compared to investing cash flow in H1 2017. This was mostly caused by the upswing in the number of new Dino store openings in H1 2018 (74 versus 49 in H1 2017) and the ongoing progress in the construction of Dino's new distribution center in Rzeszotary, which is slated to be opened in 2018.

2.1.3. Factors impacting Dino's operations and results

In the opinion of the Dino Management Board, the following factors will affect the Dino Group's business until the end of 2018:

- pace of new store openings by the Dino Group and the related capital expenditures,
- the opening of the new Dino Polska distribution center and the capital expenditures accompanying that project,
- improved efficiency of the Company's operations, benefits resulting from economies of scale and optimization of operating expenses; improved efficiency of logistics services provided to all stores,

⁶defined as interest-bearing loans and borrowings and liabilities under financial lease agreements + liabilities by virtue of outstanding securities + current part of interest-bearing loans and borrowings and finance lease liabilities minus cash and cash equivalents.

- favorable economic situation in Poland resulting in increasing disposable income and consumption expenditures of customers; and the growth rate seen in CPI,
- changes in the regulatory environment – Sunday trading ban that may lead to lower revenue, in particular products sold on impulse, chiefly in the summer season;
- decreasing unemployment and unstable and uncertain situation in the labor market in individual regions.

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

2.1.4. Threats and risks related to the other months of the year

Demanding situation on the labor market may adversely affect the Dino Group's business

The Dino Group operates in a sector characterized by relatively high employee turnover. The dwindling level of unemployment in Poland, which is accompanied by a high level of competition for store employees between entities operating in the retail trade sector, may contribute to the Dino Group sustaining higher employee attrition and troubles with attracting new employees. Moreover, the aforementioned factors may exert more pressure on raising the costs of wages.

The occurrence of these circumstances may exert an adverse impact on the Dino Group's business, its financial standing, performance or prospects.

Changes to the general economic situation, which are beyond Dino Group's control, may result in lower consumer demand, which may have an adverse impact on the Dino Group's business

The Dino Group operates in Poland on the grocery retail market, which depends on the demand generated by consumers. The demand generated by consumers is the derivative of a number of factors being beyond the Dino Group's control, in particular the macroeconomic situation and political conditions. Change of the economic factors in the market in Poland, in the EU or globally, including changes in the GDP growth rates, total inflation, deflation of food prices, increase of the unemployment rate, decline of salaries or decrease of expenditures on consumption and investments, may have adverse impact on the Dino Group or the sector in which the Dino Group operates, including the sales revenues generated by the Dino Group or its costs.

The Dino Group may not be able to implement its store rollout strategy

The Dino Group's strategy provides for, among others, further growth through continuation of fast organic growth of the store network. Successful implementation of the Dino Group's development strategy depends, among others, on the economic conditions, access to external financing, absence of unfavorable changes in the regulatory environment, finding and acquisition (or to a lesser, supplementary extent, lease or rental) of real estate on acceptable commercial terms which satisfy the requirements set by the Dino Group, efficient construction and launch of new stores, employment, training and retention of store personnel, and integration of the new stores with the supply chain operating in the Dino Group in a manner ensuring high profitability.

Even if the Dino Group manages to open new stores in line with the adopted strategy, the newly opened stores may not break even within the originally assumed timelines or at all, or the increase in sales revenues or sales revenue in the existing store network (LFL) may turn out lower than assumed by the Management Board, and the Dino Group may be exposed to incurring additional, unexpected costs associated with opening new stores. In addition, the analysis carried out by the Dino Group before opening a given store may turn out incorrect among others due to lower than expected customer traffic in the vicinity of the store or unexpected circumstances.

The occurrence of these circumstances may exert an adverse impact on the Dino Group's business, its financial standing, performance or prospects.

The market on which the Dino Group conducts operations is characterized by high competition, and the pressure from the competitors may have adverse impact on the margins or growth prospects

The market on which the Dino Group conducts operations is characterized by high competition due to the presence and constant growth of big organized retail chains, including supermarkets, discount stores and convenience stores, which frequently operate on a scale greater than the Dino Group's scale of business. There is no certainty that the Dino Group will be able to compete effectively with its current or future competitors, in particular in terms of prices and promotions and in terms of the product assortment offered, which could bring about a decline in the Dino Group's rate of growth, stagnation or a decline in the Dino market share and a reduction in its profitability. As a consequence, this could adversely affect the Dino Group's business, financial position and results.

Unclear interpretation of Polish law or change of law may adversely affect the Dino Group

The activities of the Dino Group are subject to various regulations in Poland (among others in respect to food production, fire and safety regulations, provisions of labor law and environmental law). If the Dino Group does not operate in compliance with these requirements, it may be liable to pay penalties, fees or damages as provided for by the relevant legislation and may even be required to suspend part of its operations.

Also, a significant number of laws and regulations relevant to the activities of the Dino Group have been changed and may be changed or made more stringent in the future (such as e.g. restrictions on the sale of tobacco products).

Instability of the legal system and regulatory environment increases the risk of incurring significant additional and unforeseen costs, as well as the costs of adjusting the operations to the changing legal environment in the context of the activities conducted by the Dino Group, which may adversely affect the Dino Group's activities, financial standing, growth prospects and results.

Changes in the tax law applicable to the operations of the Dino Group or its interpretation, as well as changes in individual tax rulings may adversely affect the Dino Group

The regulations of Polish tax law are complicated and change frequently. The practice of applying tax law by tax authorities is not homogeneous, while the jurisprudence of administrative courts on this subject often exhibits material differences. There can be no assurance that the tax authorities will not issue a different tax ruling in regard to the tax regulations applied by the Company or Dino Group companies, which could be unfavorable to the Company or Dino Group companies.

In particular, the Dino Polska Group cannot give an assurance that, as tax avoidance provisions are introduced that use general clauses and the interpretation and application of which will be developed in practice by the tax authorities and the jurisprudence of the administrative courts, the tax authorities will assess the tax effects of operations conducted by the Company or by the Dino Polska Group companies differently than the Group does. This may apply in particular to restructuring transactions, which generate a tax advantage for the taxpayer, after the regulations containing a tax avoidance clause become effective. Also, there can be no assurance that the individual tax rulings obtained and applied by the Company or the Dino Polska Group companies will not change or be rendered inoperative for the same reason. The legislative practice also shows a tendency to enact legal acts in the field of tax law that may have retroactive effect, which may influence the amount of tax settlements.

There is also a risk that, as new regulations and the new retail sales tax are implemented or VAT increases, the Company or the Dino Group companies will have to undertake adaptive efforts, caused by the circumstances, which may lead to considerable expenses of adaptation to the new regulations or possibly to a decrease in the level of sales and revenues of the Dino Group (if VAT increases). On account of the above, there is no assurance that the tax authorities will not challenge the correctness of tax settlements made by the Company or the Dino Group companies in respect of tax liabilities for which the period of limitation has not expired and the determination of tax arrears of these entities, which may have an adverse effect on the activities, financial standing, results of the Dino Group and on the price of Shares.

2.2. Shareholders of the Company and shares held by management board and supervisory board members

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino Polska shares.

Shareholding structure of Dino Polska S.A. as at the Report Date

	Number of shares and number of votes at the Shareholder Meeting	Share in the share capital and in votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary ⁷	50,103,000	51.10%
Other shareholders.....	47,937,000	48.90%

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Supervisory Board. According to the Company's best knowledge, there have not been any changes in the structure of significant equity stakes in Dino in the period from the date of transmitting the periodic report for Q1 2018.

At the Report Date, Szymon Piduch, President of the Management Board, held 141,000 shares. Michał Krauze, a Management Board Member, held 30,000 Company shares as at the Report Date. No changes occurred in the number of Dino Polska shares held by members of the Company's Management Board since the delivery date of the Q1 2018 periodic report.

Among the Supervisory Board members, as at the Report Date the following held Dino shares: Tomasz Biernacki (Supervisory Board Chairman) – according to the data set forth in the table above, Eryk Bajer (Supervisory Board Member) – 17,631 shares (in connection with purchase transactions executed on the Warsaw Stock Exchange from the delivery date of Dino's periodic report for Q1 2018 Eryk Bajer increased the number of shares he held by 8,049) and Sławomir Jakszuk (Supervisory Board Members) – 1,600 shares.

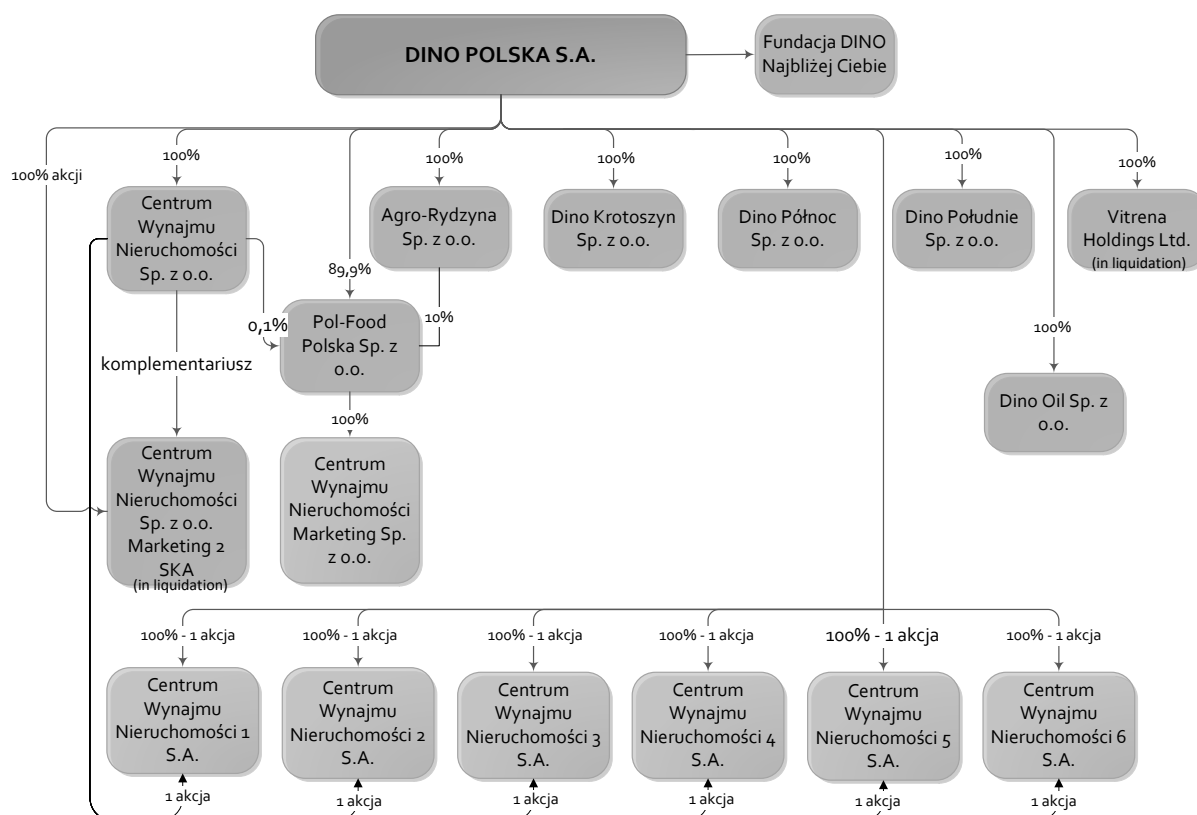
On 20 March 2017, in connection with the public offering of shares, Tomasz Biernacki incurred an obligation not to sell the 51% of Dino Polska shares held by him before the public offering until the expiry of the 720-day period after the first listing of shares on the Warsaw Stock Exchange, which happened on 19 April 2017. Moreover, in accordance with the provisions of the incentive programs, the Members of the Company's Management Board who acquired shares in the performance of their obligation to acquire the shares specified in these programs, are required to refrain from selling those shares for a period of two years after their acquisition. The detailed provisions of the said obligations are described in the Company's prospectus, as approved by KNF on 17 March 2017.

⁷ BT Kapital Sp. z o.o., a subsidiary of Tomasz Biernacki, holds a total of 103 thousand Company shares

2.3. Group – general information and description of the changes in its organization

The Company is the parent company of the Dino Group. The Company conducts the operating activity including the management of Dino store network. The Company manages, among others, the logistics of supply of products to the stores, sales, product range offered in the stores and supports other Group Companies in the execution of investment processes related to securing new sites and building new stores. The Company also owns some of the real properties on which the stores are located and leases facilities in which the stores are located from other Group Companies that own the properties.

The Group consists of Dino Polska S.A. and the following subsidiaries:



As at 30 June 2018 and as at the Report Date, the Dino Management Board consists of two members: Szymon Piduch, President of the Management Board and Michał Krauze, Management Board Member. No changes in the composition of the Management Board took place in H1 2018 or up to the Report Date.

As at the Report Date, the Dino Supervisory Board consists of five members. Its composition has fallen by one person versus the status as at 31 March 2018 as a result of the elapse of the term of office. The following gentlemen were appointed to the Dino Polska Supervisory Board: Eryk Bajer, Tomasz Biernacki, Sławomir Jakszuk, Piotr Nowjalis and Maciej Polanowski.

2.4. Other information

Non-recurring amounts and events

No amounts or non-recurring events exerting a material impact on the results of the Company and the Group transpired in the period from 1 January 2018 to 30 June 2018.

In the period from 1 January 2017 to 30 June 2017, the results of the Dino Group were affected by the costs of the Company's initial public offering of shares carried out at the turn of March and April 2017. The sum total of these costs was PLN 12,272 thousand in H1 2017 (PLN 2,961 thousand in Q1 and PLN 9,311 thousand in Q2), of which PLN 7.5 million constituted non-cash expenditures that did not lead to the Group expending working capital.

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company's Management Board did not publish any forecasts for 2018.

Information about litigation and material proceedings pending in a competent body for arbitration or a public administrative authority

According to the Company's best knowledge, no material proceedings pertaining to liabilities or accounts receivable of Dino Polska or its subsidiaries are pending before a court, competent authority for an administrative proceeding or public administration authority.

Information on related party transactions

In the reporting period there were no related party transactions that were not executed on an arm's length basis. Information on related party transactions is set forth in note 22 to the Interim condensed consolidated financial statements of Dino Polska for H1 2018.

Sureties, loans, borrowings or guarantees extended by the issuer or its subsidiary

In H1 2018 Dino Polska S.A. extended a surety for a subsidiary – Dino Krotoszyn in the amount of PLN 24.75 million. This surety constitutes collateral for the credit facility between Dino Krotoszyn and Bank PKO BP totaling PLN 16.14 million for the period up to 24 October 2024.

Other information that can materially affect the assessment of the issuer's assets, financial position and financial result

No material events other than the ones described in this Report and in Dino Polska's interim condensed consolidated financial statements for the 6-month period ended 30 June 2018 that could significantly affect the assessment of the Group's assets, financial position and financial result occurred in the reporting period.

Principles for the preparation of the interim condensed consolidated financial statements

The interim condensed consolidated financial statements have been prepared in accordance with International Financial Reporting Standard 34 "Interim Financial Reporting" approved by the European Union ("IAS 34").

These interim condensed consolidated financial statements do not contain all the information and disclosures required in annual financial statements and should be read jointly with the Group's consolidated financial statements for the year ended 31 December 2017 approved for publication on 16 March 2018.

The interim condensed consolidated financial statements are presented in Polish zloty ("PLN"), while all the figures are stated in thousands of PLN, unless stated otherwise.

The interim condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future, except for Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA (in liquidation) and Vitrena Holdings Ltd., which are currently in liquidation.

As at 30 June 2018, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are minimized and suppliers offer deferred payment terms. At the same time, the Group intensively develops its

network using free cash and funding from bank loans to increase the number of its operational stores. Covenants related to loan agreements are monitored on an ongoing basis. As at the balance sheet date of 30 June 2018, there was no default on the terms and conditions of credit agreements and the Management Board is of the opinion there is no risk that banks may terminate such agreements within 12 months of the balance sheet date of 30 June 2018. As at the date of approval of the consolidated financial statements, no circumstances have been found that would indicate a threat for the Group companies to continue as a going concern.

3. MANAGEMENT BOARD'S REPRESENTATIONS

According to its best knowledge, the Dino Polska S.A. Management Board ("Company") represents that:

- the interim condensed financial statements of Dino Polska S.A. for the 6-month period ended 30 June 2018 and the comparable data have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of the Dino Polska S.A. Group and its financial result,
- the interim condensed consolidated financial statements of the Dino Polska S.A. Group for the 6-month period ended 30 June 2018 and the comparable data have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of the Dino Polska S.A. Group and its financial result,
- the Management Board's Report on the Activity of the Dino Polska S.A. Group in H1 2018 contains a true picture of the development, accomplishments and position of the Group, including a description of the fundamental threats and risks.

Szymon Piduch

President of the Management
Board

Michał Krauze

Management Board Member

Krotoszyn, 21 August 2018

4. APPENDICES

- 4.1. Interim condensed consolidated financial statements of the Dino Polska S.A. Group for the 6-month period ended 30 June 2018
- 4.2. Interim condensed financial statements of Dino Polska S.A. for the 6-month period ended 30 June 2018
- 4.3. Auditor's report on the review of the financial statements

DINO POLSKA S.A. GROUP

**INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
FOR THE 6-MONTH PERIOD ENDED 30 JUNE 2018
WITH THE INDEPENDENT AUDITOR'S REPORT ON ITS REVIEW**

DINO POLSKA S.A. GROUP

Interim condensed consolidated financial statements for the 6-month period ended 30 June 2018
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
(in thousands of PLN)

Table of contents

Financial highlights	3
Interim condensed consolidated statement of profit or loss	4
Interim condensed consolidated statement of comprehensive income	5
Interim condensed consolidated statement of financial position	6
Interim condensed consolidated statement of cash flows	7
Interim condensed consolidated statement of changes in equity	8
Additional notes	9
1. General information	9
2. Changes to the Group's composition	9
3. Basis for preparation of the interim condensed consolidated financial statements	9
4. Significant accounting principles (policies)	10
4.1. IFRS 9 Financial instruments	10
4.2. IFRS 15 Revenue from Contracts with Customers	10
4.3. Other	11
4.4. Implementation of IFRS 16	12
5. Change of estimates and corrections of errors	13
6. Business seasonality	13
7. Information concerning business segments	13
8. Dividends distributed and proposed for distribution	14
9. Income and expenses	14
9.1. Expenses by type:	14
9.2. Other operating income	14
9.3. Other operating expenses	15
9.4. Financial income	15
9.5. Financial expenses	15
10. Income tax	16
11. Property, plant and equipment	17
12. Intangible assets	19
13. Goodwill	19
14. Other non-financial assets	19
15. Provisions	19
16. Interest-bearing bank loans and borrowings	20
17. Other significant changes	25
17.1. Non-recurring amounts and events	25
17.2. Equities	25
17.3. Litigation	25
17.4. Contingent liabilities and contingent assets	25
17.5. Obligations to incur capital expenditures	25
17.6. Cash and cash equivalents	25
17.7. Other selected disclosures	26
18. Business combinations and purchases of non-controlling interests	26
19. Objectives and principles of managing financial risk	26
20. Financial instruments	27
21. Discontinued activity	27
22. Related party transactions	27
23. Events after the reporting period	29

FINANCIAL HIGHLIGHTS

	PLN 000s		EUR 000s*	
	from 1 January to 30 June 2018	from 1 January 2017 to 30 June 2017	from 1 January 2018 to 30 June 2018	from 1 January 2017 to 30 June 2017
Sales revenues	2,709,072	2,018,398	639,007	475,208
Operating profit	176,957	114,372	41,740	26,928
Profit before tax	156,459	96,659	36,905	22,757
Net profit	126,455	77,142	29,828	18,162
Number of shares	98,040,000.00	98,040,000.00	98,040,000.00	98,040,000.00
Basic / diluted earnings per share in PLN, EUR	1.29	0.79	0.30	0.19
Cash flow from operating activities	204,353	125,274	48,202	29,494
Cash flow from investing activities	(278,495)	(171,097)	(65,691)	(40,283)
Cash flow from financing activities	61,603	22,445	14,531	5,284
Net change in cash and cash equivalents	(12,539)	(23,378)	(2,958)	(5,504)

* In the case of data in EUR, the average EUR/PLN exchange rate in the period was used, as published by the National Bank of Poland:

- NBP's average exchange rate for H1 2018: PLN 4.2395/EUR;
- NBP's average exchange rate for H1 2017: PLN 4.2474/EUR.

	PLN 000s		EUR 000s*	
	as at 30 June 2018	as at 31 December 2017	as at 30 June 2018	as at 31 December 2017
Total assets	2,669,315	2,451,329	612,004	587,722
Total non-current assets	2,037,179	1,807,964	467,071	433,471
Total current assets	632,136	643,365	144,932	154,251
Equity	1,030,948	904,493	236,369	216,858
Share capital	9,804	9,804	2,248	2,351
Non-current liabilities	647,138	575,883	148,372	138,072
Current liabilities	991,229	970,953	227,263	232,792

* In the case of data in EUR, the average EUR/PLN exchange rates in the period were used, as published by the National Bank of Poland:

- NBP's average exchange rate as at 30 June 2018: 4.3616 PLN/EUR;
- NBP's average exchange rate as at 31 December 2017: 4.1709 PLN/EUR.

INTERIM CONDENSED CONSOLIDATED STATEMENT OF PROFIT OR LOSS

	Note	01.01.2018- 30.06.2018	01.01.2017- 30.06.2017	01.04.2018- 30.06.2018	01.04.2017- 30.06.2017
		(unaudited)	(unaudited)	(unaudited)	(unaudited)
Continuing operations					
Sales revenues	7	2,709,072	2,018,398	1,423,488	1,108,063
Cost of sales	9.1	(2,078,296)	(1,560,059)	(1,090,177)	(858,315)
Gross profit on sales		630,776	458,339	333,311	249,748
Other operating income	9.2	3,083	1,212	1,689	736
Sales and marketing expenses	9.1	(429,095)	(310,471)	(222,815)	(160,725)
General administration expenses	9.1	(26,901)	(34,320)	(13,980)	(21,417)
Other operating expenses	9.3	(906)	(388)	(514)	(292)
Operating profit		176,957	114,372	97,691	68,050
Financial income	9.4	147	140	(15)	42
Financial expenses	9.5	(20,645)	(17,853)	(10,506)	(9,438)
Profit before tax		156,459	96,659	87,170	58,654
Income tax	10	(30,004)	(19,517)	(16,663)	(11,967)
Net profit from continuing operations		126,455	77,142	70,507	46,687
Net profit for the reporting period		126,455	77,142	70,507	46,687
 Profit attributable:					
To owners of the parent		126,455	77,142	70,507	46,687
 Earnings per share:					
– basic earnings from profit attributable to owners of the parent	1.29	0.79	0.72	0.48	
– basic earnings from profit from continuing operations attributable to owners of the parent	1.29	0.79	0.72	0.48	
– diluted earnings from profit attributable to owners of the parent	1.29	0.79	0.72	0.48	
– diluted earnings from profit from continuing operations attributable to owners of the parent	1.29	0.79	0.72	0.48	

INTERIM CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	<u>01.01.2018- 30.06.2018</u>	<u>01.01.2017- 30.06.2017</u>	<u>01.04.2018- 30.06.2018</u>	<u>01.04.2017- 30.06.2017</u>
Net profit for the reporting period	126,455	77,142	70,507	46,687
<i>Items not subject to reclassification to profit in subsequent reporting periods:</i>				
Actuarial gains/(losses) on defined benefit plans	-	-	-	(38)
Income tax on other comprehensive income	-	-	-	7
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	-	-	-	(31)
Net other comprehensive income	-	-	-	(31)
Comprehensive income in the reporting period	126,455	77,142	70,507	46,656
Comprehensive income attributable:				
To owners of the parent	126,455	77,142	70,507	46,656
Non-controlling shareholders	-	-	-	-
	126,455	77,142	70,507	46,656

INTERIM CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

as at 30 June 2018

	<i>Note</i>	30.06.2018	31.12.2017
		<i>(unaudited)</i>	
ASSETS			
Property, plant and equipment	11	1,931,438	1,697,600
Intangible assets	12	93,509	92,774
Other non-financial assets (non-current)	14	26	30
Deferred tax assets	10	12,206	17,560
Total non-current assets		2,037,179	1,807,964
Inventories		376,425	368,262
Trade and other receivables		19,545	37,991
Income tax receivables		139	77
Other non-financial assets	14	45,940	34,409
Cash and cash equivalents		190,087	202,626
Total current assets		632,136	643,365
TOTAL ASSETS		2,669,315	2,451,329
EQUITY AND LIABILITIES			
Equity (attributable to owners of the parent)		1,030,948	904,493
Share capital		9,804	9,804
Supplementary capital		1,307,272	1,111,860
Retained earnings		(293,628)	(224,671)
Other equity	17.7	7,500	7,500
Non-controlling interests		-	-
Total equity		1,030,948	904,493
Interest-bearing loans and borrowings and finance lease liabilities	16	537,295	470,590
Liabilities by virtue of outstanding securities	16	99,789	99,749
Other liabilities		240	270
Provisions for employee benefits	15	1,231	1,231
Provision for deferred tax liability	10	8,156	3,495
Accruals and deferred revenue		427	548
Total non-current liabilities		647,138	575,883
Trade and other payables		804,814	811,322
Current part of interest-bearing loans and borrowings and finance lease liabilities	16	134,883	117,074
Liabilities by virtue of outstanding securities	16	637	654
Income tax liabilities		21,522	20,729
Accruals and deferred revenue		29,023	20,824
Provisions for employee benefits	15	350	350
Total current liabilities		991,229	970,953
Total liabilities		1,638,367	1,546,836
TOTAL EQUITY AND LIABILITIES		2,669,315	2,451,329

INTERIM CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS

for the 6-month period ended 30 June 2018

	<i>Note</i>	01.01.2018- 30.06.2018 (unaudited)	01.01.2017- 30.06.2017 (unaudited)
Cash flow from operating activities			
<i>Profit before tax</i>		156,459	96,659
<i>Adjustments for the line items:</i>		47,894	28,615
Depreciation and amortization		52,030	39,594
(Profit)/loss on investment activity		530	179
Movement in receivables	17.6	15,234	(3,614)
Movement in inventories		(8,163)	(30,364)
Movement in liabilities, except for loans and borrowings	17.6	(12,267)	13,878
Interest revenue		(147)	(38)
Interest expense		20,608	17,987
Movement in prepayments, accruals and deferred revenue		(671)	(1,660)
Movement in provisions		-	(5,667)
Income tax paid		(19,260)	(9,180)
Other		-	7,500
Net cash from operating activities		204,353	125,274
Cash flow from investing activities			
Sale of items of property, plant and equipment and intangible assets		837	1,136
Purchase of items of property, plant and equipment and intangible assets		(279,479)	(172,271)
Interest received		147	38
Net cash from investing activities		(278,495)	(171,097)
Cash flow from financing activities			
Payment of finance lease liabilities		(22,113)	(24,533)
Proceeds from obtained loans/borrowings		213,817	98,882
Repayment of loans/borrowings		(109,493)	(33,917)
Interest paid		(20,608)	(17,987)
Net cash from financing activities		61,603	22,445
Net increase in cash and cash equivalents		(12,539)	(23,378)
Cash at the beginning of the period		202,626	66,428
Cash at the end of the period	17.6	190,087	43,050

INTERIM CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the 6-month period ended 30 June 2018

	<i>Attributable to owners of the parent</i>				<i>Total</i>
	<i>Share capital</i>	<i>Supplementary capital</i>	<i>Retained earnings</i>	<i>Other equity</i>	
As at 1 January 2018	9,804	1,111,860	(224,671)	7,500	904,493
Net profit for 2018	-	-	126,455	-	126,455
<i>Comprehensive income for the year</i>	-	-	126,455	-	126,455
Distribution of the financial result for 2017	-	195,412	(195,412)	-	-
As at 30 June 2018	9,804	1,307,272	(293,628)	7,500	1,030,948
As at 1 January 2017	9,804	510,720	162,952	-	683,476
Net profit for 2017	-	-	213,604	-	213,604
Net other comprehensive income for 2017	-	-	(87)	-	(87)
<i>Comprehensive income for the year</i>	-	-	213,517	-	213,517
Costs of share-based incentive system	-	-	-	7,500	7,500
Distribution of the financial result for 2016	-	601,140	(601,140)	-	-
As at 31 December 2017	9,804	1,111,860	(224,671)	7,500	904,493
As at 1 January 2017	9,804	510,720	162,952	-	683,476
Net profit for 2017	-	-	77,142	-	77,142
<i>Comprehensive income for the year</i>	-	-	77,142	-	77,142
Costs of share-based incentive system	-	-	-	7,500	7,500
Distribution of the financial result for 2016	-	601,140	(601,140)	-	-
As at 30 June 2017	9,804	1,111,860	(361,046)	7,500	768,118

ADDITIONAL NOTES

1. General information

The Dino Polska S.A. Group ("Group") consists of Dino Polska S.A. ("parent company", "Company") and its subsidiaries. The Group's interim condensed consolidated financial statements span the 6-month period ended 30 June 2018 and contain comparative data for the 6-month period ended 30 June 2017 and as at 31 December 2017.

The parent company is entered in the register of commercial undertakings of the National Court Register kept by the District Court for Poznań Nowe Miasto i Wilda, 9th Commercial Division of the National Court Register under file number KRS 0000408273. The parent company has been given the following statistical number: REGON 300820828.

The duration of the parent company and of the entities forming part of the Group is unlimited.

The Group's main line of business is retail sale in non-specialized stores with food, beverages or tobacco predominating.

Moreover, the Group also produces meat products, which are supplied to external customers through the Group's retail network.

The Group's interim condensed consolidated financial statements for the 6-month period ended 30 June 2018 were approved for publication by the Management Board on 21 August 2018.

The interim financial result may not fully reflect the financial result that may be generated in the financial year.

2. Changes to the Group's composition

No changes in the Dino Polska S.A. Group's composition transpired in the reporting period.

3. Basis for preparation of the interim condensed consolidated financial statements

These interim condensed consolidated financial statements have been prepared in accordance with International Financial Reporting Standard 34 "Interim Financial Reporting" approved by the European Union ("IAS 34").

These interim condensed consolidated financial statements do not contain all the information and disclosures required in annual financial statements and should be read jointly with the Group's consolidated financial statements for the year ended 31 December 2017 approved for publication on 16 March 2018.

These interim condensed consolidated financial statements are presented in Polish zloty ("PLN"), while all the figures are stated in thousands of PLN, unless stated otherwise.

These interim condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future, except for Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA (in liquidation) and Vitrena Holdings Ltd., which are currently in liquidation.

As at 30 June 2018, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are minimized, and suppliers offer deferred payment terms. At the same time, the Group intensively develops its network using free cash and funding from bank loans to increase the number of its operational stores. The covenants related to the loan agreements are monitored on an ongoing basis. As at the balance sheet date of 30 June 2018, there was no default on the terms and conditions of credit agreements and the Management Board is of the opinion there is no risk that banks may terminate such agreements within 12 months of the balance sheet date of 30 June 2018. As at the date of approval of these consolidated financial statements, no circumstances have been found that would indicate a threat for the Group companies to continue as a going concern.

4. Significant accounting principles (policies)

The accounting principles (policies) used to draw up the interim condensed consolidated financial statements are consistent with the ones that were used to draw up the Group's annual financial statements for the year ended 31 December 2017 except for the application of new or modified standards and interpretations in force for annual periods beginning on or after 1 January 2018.

4.1. IFRS 9 Financial instruments

IFRS 9 replaced IAS 39 *Financial Instruments: recognition and measurement* and is effective for annual periods beginning on or after 1 January 2018. The standard covers three aspects related to financial instruments: classification and measurement, impairment and hedge accounting.

The Group applied IFRS 9 as of the effective date of the standard, without restating the comparative data. The introduction of this standard did not materially affect the Group's interim consolidated financial statements.

a) Classification and measurement

The Group does not hold any financial assets measured at fair value and all of its financial assets previously measured at amortized cost will continue to be measured at amortized cost.

Trade receivables are held in order to collect contractual cash flows and the Group does not sell trade receivables in factoring schemes – they will continue to be measured at amortized cost through profit or loss. The Group uses a practical exemption and for trade receivables under 12 months does not identify significant financing components.

b) Impairment

Under IFRS 9, an entity measures a loss allowance for expected credit losses at the amount equal to the financial instrument's 12-month expected credit losses or lifetime expected credit losses. For trade receivables, the Group applied a simplified approach and measures the impairment for expected credit losses at the amount equal to the instrument's lifetime expected credit losses.

c) Hedge accounting

Since the Group does not apply hedge accounting, the changes arising out of the application of IFRS 9 in this respect do not affect the Group's financial statements.

4.2. IFRS 15 Revenue from Contracts with Customers

IFRS 15 repeals IAS 11 Construction Contracts, IAS 18 Revenue and the related interpretations and is applicable to all contracts with customers except for the ones that fall under the scope of other standards. This new standard establishes what is referred to as the "Five-Step Revenue Recognition Model" for recognizing revenue coming from contracts with customers. Under IFRS 15, revenue is recognized in an amount of consideration to which the entity expects to be entitled in exchange for transferring the promised goods or services to the customer.

The application of IFRS 15 requires for the Management Board of the parent company to make judgments at each one of the five steps of this model.

The Group conducts its operations in the following area:

a) Sale of goods and products manufactured in the Group

The Group's main line of business is retail sale in non-specialized stores with a diverse product assortment (mainly food, beverages and tobacco) and products (culinary meat products). Sales of goods in own and leased shops directly to individual (retail) customers represented approximately 98% of the Group's revenues. The Group also cooperates with one franchisee in the area of sales of goods and products. The amount of revenue on sales of goods and products to the franchisee represents approximately 1.5% of the Group's total revenues.

If a contract contains only one performance obligation - the sale of merchandise or a product manufactured in the Group, the revenue will be recognized at a specific point in time, that is when a customer takes control of the merchandise or product - at the moment of sale and payment in the store by a retail customer or at the moment the

franchisee takes control of the goods and products. Consequently, the impact of adopting IFRS 15 exerted on the moment of recognizing revenue by virtue of such contracts is not material.

b) Sale of lease services provided in different times

The Group also provides lease services. The Group believes that in transactions under lease agreements, the customer simultaneously receives and consumes the benefits provided by the Group's service as the Group performs the service. As a result, the Group transfers control and thus satisfies its performance obligation over time. The Management Board believes that the impact of adopting IFRS 15 on the recognition of revenue and the Group's financial results under such contracts is immaterial – the Group will continue to recognize revenue from the sale of lease services over time.

In assessing the impact exerted by introducing IFRS 15, the Group considered the following aspects, among others: variable payment, the right to a return and conferring options to buy additional goods or services. The Group generates most of its revenue on sales of food and it is not obliged to accept returns of food products and goods sold. At the time of transferring an asset to a customer (the customer obtaining control over the asset), the Group does not expect the goods and products sold to be returned in the future. The Group does not enter into any contracts with customers that include variable amounts of consideration (revenue) resulting from discounts, rebates or performance bonuses granted and it does not extend options to customers to obtain additional goods or services free of charge or at a reduced price in the form of add-ons or loyalty points.

The introduction of the IFRS 15 standard did not materially affect the Group's interim condensed consolidated financial statements. The Group did not transform comparative data.

4.3. Other

a) Interpretation of IFRIC 22 Foreign currency transactions and advance consideration

The interpretation clarifies that the day when the entity initially recognizes the non-pecuniary asset or non-pecuniary liability ensuing from disbursing or receiving advance consideration is the transaction execution date for the purposes of determining the foreign exchange rate that is supposed to be applied at the time of initial recognition of a related asset, expenditure or income (or a part thereof). If there are multiple cases of disbursing or receiving advance payments, then the entity defines the transaction execution date for each case of disbursing or receiving an advance payment.

The interpretation does not have a material impact on the Group's interim condensed consolidated financial statements.

b) Changes to IAS 40 Transfers of investment property

The amendments precisely state when an entity transfers a property, including a property under construction, to or from an investment property. The amendments clarify that a change occurs in the method of use in the event that a given property satisfies or ceases to satisfy the definition of investment property and there is evidence testifying to the change in the method of use. The mere change in the management's intention concerning the method of use does not constitute evidence testifying to a change in the method of use.

The changes do not have a material impact on the Group's interim condensed consolidated financial statements.

c) Amendments to IFRS 2 Classification and measurement of share-based payment transactions

The International Accounting Standards Board (IASB) published changes to IFRS 2 *Share-based payments* in order to clarify the following areas: incorporating the vesting conditions and other conditions besides the vesting conditions in the measurement of share-based payment transactions cleared using cash, recognizing a share-based payment transaction featuring a net settlement of withholding tax liabilities, recognizing the modification of a share-based payment transaction that alters its classification from one settled in cash to one settled in equity instruments.

The changes do not have a material impact on the Group's interim condensed consolidated financial statements.

d) Amendments to IFRS 4 Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts

These amendments enable entities pursuing insurance activity to defer the effective date of IFRS 9 until 1 January 2021. The outcome of this deferral is that the interested entities may continue to prepare their financial statements in accordance with the standard in force, i.e. IAS 39.

These changes do not pertain to the Group.

e) Amendments to IAS 28 Investments in Associates and Joint Ventures being part of the Annual Improvements to IFRS 2014-2016 Cycle

The amendments precisely state that an entity that is an organization managing high risk capital, a mutual fund, a trust fund or some other similar entity, including one related to unit-linked investments may elect to measure an investment in an associate or joint venture at goodwill through the financial result according to IFRS 9. The entity makes a choice separately for each associate or joint venture at the time of the initial recognition of an associate or joint venture. If an entity that is not an investment entity itself has an interest in an associate or joint venture that are investment entities, the former entity may elect, by applying the equity method, to maintain the goodwill measurement used by that associate or joint venture that are investment entities in reference to interests in the associate or joint venture that are investment entities in subsidiaries. This choice is made separately for every investment associate or joint venture on the date of the following: a) the initial recognition of that associate or that joint venture that are investment entities; b) when that associate or joint venture becomes an investment entity; c) when that associate or joint venture that are investment entities become a parent company.

The changes do not have a material impact on the Group's interim condensed consolidated financial statements.

f) Amendments to IAS 1 First-time Adoption of International Financial Reporting Standards being part of the Annual Improvements to IFRS 2014-2016 Cycle

The short-term exemptions from the application of other IFRS set forth in paragraphs E3-E7 of IFRS 1 have been deleted.

The changes do not have a material impact on the Group's interim condensed consolidated financial statements.

The Group did not elect to apply any standard, interpretation or amendment earlier that has been published but has not yet taken force in light of the European Union regulations.

4.4. Implementation of IFRS 16

In January 2016, the International Accounting Standards Board issued International Financial Reporting Standard 16 Leases ("IFRS 16"), which replaced IAS 17 Leases, IFRIC 4 Determining Whether an Arrangement Contains a Lease, SIC 15 Operating Leases – Incentives and SIC 27 Evaluating the Substance of Transactions in the Legal Form of a Lease. IFRS 16 sets out the principles of recognition of leases in respect to their measurement, presentation and disclosure.

IFRS 16 standard provides a single lessee accounting model, requiring lessees to recognize assets and liabilities for all leases unless the lease term is 12 months or less or the underlying asset has a low value. On the commencement date, a lessee recognizes an asset for the right to use the underlying asset and a lease liability that reflects its obligation to make lease payments.

The lessee recognizes separately the depreciation and amortization of the right-to-use asset and interest on the lease liability.

The lessee updates the measurement of the lease liability after specific events occur (e.g. changes in the lease term, changes in future lease payments resulting from a change in an index or rate used to calculate such payments). As a rule, the lessee recognizes the revaluation of the lease liability as an adjustment to the value of the right-to-use asset.

The Group is a lessee in the contracts for the lease of premises and warehouse space.

The lessor's accounts under IFRS 16 remain substantially unchanged compared to the current accounting under IAS 17. The lessor will continue to account for all leases using the same classification principles as IAS 17, distinguishing between operating leases and finance leases.

IFRS 16 requires both the lessee and the lessor to make more extensive disclosures than IAS 17.

The lessee has the right to choose a full or modified retrospective approach and the transitional provisions provide for certain practical solutions.

IFRS 16 is effective for annual periods beginning on or after 1 January 2019. Earlier application is permitted for the entities that apply IFRS 15 from or before the date of first application of IFRS 16. The Group has not elected the early application of IFRS 16.

As at the date of approval of these interim condensed consolidated financial statements for publication, the Management Board is conducting a detailed assessment of the impact that the application of IFRS 16 would have on the Group's accounting policies in the context of its operations and on its financial results.

The Group estimates that the adoption of IFRS 16 *Leases* may to some extent increase both its non-current assets and financial liabilities in connection with lease contracts for the use of premises and warehouse space.

Additionally, the Management Board is taking action to determine the direction and estimate the potential impact of IFRS 16 on the right of perpetual usufruct of land, which is the basis for the Group's use of many properties on which its stores operate.

5. Change of estimates and corrections of errors

No change of estimates and no correction of errors were made in the 6-month period ended 30 June 2018 versus 31 December 2017.

6. Business seasonality

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Group posts increased sales revenues in the period close to holidays and in the summer. Moreover, Dino Group's revenues also depend on the number of store openings, which in the winter, especially in the first quarter of the year, is lower than in the remaining quarters of the year, in particular lower than in Q3 and Q4, because of the weather conditions hindering construction work.

7. Information concerning business segments

The Dino Polska S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network.

Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the Dino Polska S.A. Group as a whole, only one operating segment has been isolated.

DINO POLSKA S.A. GROUP

Interim condensed consolidated financial statements for the 6-month period ended 30 June 2018
 prepared in accordance with the International Financial Reporting Standards approved for application in the EU
 Additional notes
 (in thousands of PLN)

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Revenue on sales of products and services	330,064	252,750
Revenue on sales of goods and materials	2,379,008	1,765,648
Total	2,709,072	2,018,398

Revenue on sales of meat products produced within the Group is presented as revenue on sales of products, while revenue on retail sales of goods purchased for further resale is presented as revenue on sales of goods. The Group does not have customers whose sales would amount to more than 10% of the total value of sales. The Group generated all sales revenues in Poland.

8. Dividends distributed and proposed for distribution

During the reporting period, the parent company and the subsidiaries did not pay out a dividend.

9. Income and expenses

9.1. Expenses by type:

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Depreciation and amortization	52,030	39,594
Consumption of materials and energy	231,437	198,923
External services	109,664	77,409
Taxes and fees	15,303	11,911
Provisions for employee benefits	300,133	222,141
Other costs by nature	7,875	7,353
Cost of goods and materials sold	1,820,089	1,351,500
Total costs by nature, including:	2,536,531	1,908,831
Items captured in cost of sales	2,078,296	1,560,059
Items captured in sales and marketing expenses	429,095	310,471
Items captured in general administration expenses	26,901	34,320
Movement in products	2,239	3,981

9.2. Other operating income

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Impairment losses for receivables	15	2
Grants	282	128
Damages	311	862
Income for making timely payments PIT-4	53	35
Revenue on the sales of PMEUF certificates	684	-
Other (including debit notes)	1,738	185
Total other operating income	3,083	1,212

DINO POLSKA S.A. GROUP

Interim condensed consolidated financial statements for the 6-month period ended 30 June 2018
 prepared in accordance with the International Financial Reporting Standards approved for application in the EU
 Additional notes
 (in thousands of PLN)

9.3. Other operating expenses

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Impairment losses for receivables	20	-
Losses resulting from theft of merchandise	192	131
Loss on resale of property, plant and equipment	530	179
Donations	54	22
Other	110	56
Total other operating expenses	906	388

9.4. Financial income

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Interest income from banks	147	34
Interest income on receivables	-	5
Foreign exchange gains	-	92
Other	-	9
Total financial income	147	140

9.5. Financial expenses

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Interest on bank loans	8,957	8,240
Interest on trade payables	7,888	6,991
Interest on other payables	14	8
Interest on bonds	1,498	-
Financial expenses of finance leases	2,042	2,287
Foreign exchange losses	47	-
Commissions	195	293
Other	4	34
Total financial expenses	20,645	17,853

DINO POLSKA S.A. GROUP

Interim condensed consolidated financial statements for the 6-month period ended 30 June 2018
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Additional notes
(in thousands of PLN)

10. Income tax

The reconciliation of income tax on profit (loss) before tax at the statutory tax rate with income tax calculated at the Group's effective tax rate is as follows:

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Profit before tax from continuing operations	156,459	96,659
Profit before tax	156,459	96,659
Tax at the statutory tax rate in Poland at 19% (comparative period: 19%)	(29,727)	(18,365)
Investment allowance for operating in a special economic zone	475	307
Tax effect of expenses related to the incentive system	-	(1,425)
Income and expense items that are never taxable or deductible	(752)	(34)
Tax at the effective tax rate	(30,004)	(19,517)
Income tax (expense) recognized in consolidated profit or loss	(30,004)	(19,517)

Deferred tax is calculated on the basis of the following items:

	<i>Consolidated statement of financial position</i>		<i>Consolidated statement of profit or loss for the year ended</i>	
	<i>30.06.2018</i>	<i>31.12.2017</i>	<i>30.06.2018</i>	<i>30.06.2017</i>
<i>Deferred tax liability</i>				
Temporary difference in the value of fixed assets	21,589	13,642	7,947	4,823
Prepaid interest on loans received and interest accrued as at the balance sheet date	4,801	4,274	527	(612)
Provision for future income	9,402	4,734	4,668	6,905
Other	-	22	(22)	(5)
Presentation adjustment (offset)	(27,636)	(19,177)	(8,459)	(10,329)
Deferred tax liability	8,156	3,495		
<i>Deferred tax assets</i>				
Difference in measurement of inventories	9,110	8,603	507	1,731
Provisions for pension severance pay	267	267	-	-
Provision for unused holiday leave	4,337	3,569	768	855
Provision for other liabilities (e.g. energy, bonuses, audit of financial statements)	3,060	2,388	672	3,094
Mandate contracts paid in the subsequent year	402	199	203	59
Social security contributions	3,232	2,841	391	360
Other (including foreign exchange losses, accrued interest)	3,245	2,684	561	(734)
Losses deductible from future taxable income	6,346	2,544	3,802	5,241
Temporary difference in the value of fixed assets	3,785	3,467	318	130
Allowance on the amount of eligible capital expenditures for business in a Special Economic Zone	4,000	4,000	-	-
Prepaid rents	2,058	6,175	(4,117)	(4,116)
Presentation adjustment (offset)	(27,636)	(19,177)	(8,459)	(10,329)
Deferred tax assets	12,206	17,560		
Deferred tax expense			(10,015)	(4,491)

The details of transactions and tax risks were presented in the 2017 consolidated financial statements.

11. Property, plant and equipment

The 6-month period ended 30 June 2018

	<i>Land and buildings</i>	<i>Machinery and equipment</i>	<i>Means of transport</i>	<i>Other fixed assets</i>	<i>Fixed assets under construction</i>	<i>Total</i>
Gross value as at 1 January 2018	1,420,013	264,983	42,622	185,734	71,509	1,984,861
Purchases	-	-	-	-	285,600	285,600
Sales	-	(456)	(422)	(13)	-	(891)
Liquidation	(54)	(2,142)	(36)	(2,688)	(333)	(5,253)
Transfer from fixed assets under construction	166,220	33,670	2,975	22,089	(224,954)	-
Gross value as at 30 June 2018	1,586,179	296,055	45,139	205,122	131,822	2,264,317
Accumulated depreciation and impairment losses as at 1 January 2018	88,735	101,811	11,373	85,342	-	287,261
Depreciation charge for the period	15,444	16,115	4,067	15,204	-	50,830
Sales	-	(270)	(456)	(9)	-	(735)
Liquidation	(15)	(1,776)	(10)	(2,676)	-	(4,477)
Accumulated depreciation and impairment losses as at 30 June 2018	104,164	115,880	14,974	97,861	-	332,879
Net value as at 1 January 2018	1,331,278	163,172	31,249	100,392	71,509	1,697,600
Net value as at 30 June 2018	1,482,015	180,175	30,165	107,261	131,822	1,931,438

DINO POLSKA S.A. GROUP
Interim condensed consolidated financial statements for the 6-month period ended 30 June 2018
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Additional notes
(in thousands of PLN)

Year ended 31 December 2017

	<i>Land and buildings</i>	<i>Machinery and equipment</i>	<i>Means of transport</i>	<i>Other fixed assets</i>	<i>Fixed assets under construction</i>	<i>Total</i>
Gross value as at 1 January 2017	1,116,955	207,081	25,458	155,795	41,306	1,546,595
Purchases	-	-	-	-	454,923	454,923
Sales	(5,845)	(1,343)	(171)	(1,122)	-	(8,481)
Liquidations*	(380)	73	(699)	(5,429)	(1,741)	(8,176)
Transfer from fixed assets under construction	309,283	59,172	18,034	36,490	(422,979)	-
Gross value as at 31 December 2017	1,420,013	264,983	42,622	185,734	71,509	1,984,861
Accumulated depreciation and impairment losses as at 1 Jan. 2017	63,457	75,182	6,162	64,587	-	209,388
Depreciation charge for the period	25,450	26,624	5,967	25,448	-	83,489
Sales	(170)	(3)	(121)	(44)	-	(338)
Liquidation*	(2)	8	(635)	(4,649)	-	(5,278)
Accumulated depreciation and impairment losses as at 31 Dec. 2017	88,735	101,811	11,373	85,342	-	287,261
Net value as at 1 January 2017	1,053,498	131,899	19,296	91,208	41,306	1,337,207
Net value as at 31 December 2017	1,331,278	163,172	31,249	100,392	71,509	1,697,600

* The line item entitled liquidation of machinery and equipment includes the reclassification between groups of current fixed assets.

12. Intangible assets

Purchase and sale

In the 6-month period ended 30 June 2018 the Group purchased intangible assets worth PLN 1,936 thousand (PLN 2,085 thousand in 2017).

13. Goodwill

There were no changes to goodwill in the period ended 30 June 2018 and 31 December 2017. As at 30 June 2018 goodwill was equal to PLN 64,989 thousand (PLN 64,989 thousand in 2017).

14. Other non-financial assets

	30.06.2018	31.12.2017
Fiscal receivables (including VAT, net of CIT)	35,420	32,642
Rents	21	49
Insurance	457	1,097
Other prepayments and accruals (including real estate tax)	10,068	651
Total	45,966	34,439
- current	45,940	34,409
- non-current	26	30

15. Provisions

	Retirement and disability benefits	Other benefits	Provision for deferred tax liability	Total
Opening balance as at 1 January 2018	1,581	-	3,495	5,076
Increases	-	-	4,661	4,661
Utilization	-	-	-	-
Closing balance as at 30 June 2018	1,581	-	8,156	9,737
Short-term provisions	350	-	-	350
Long-term provisions	1,231	-	8,156	9,387

	Retirement and disability benefits	Other benefits	Provision for deferred tax liability	Total
Opening balance as at 1 January 2017	1,341	5,666	5,498	12,505
Increases	245	-	-	245
Utilization	(5)	(5,666)	(2,003)	(7,674)
Closing balance as at 31 December 2017	1,581	-	3,495	5,076
Short-term provisions	350	-	-	350
Long-term provisions	1,231	-	3,495	4,726

16. Interest-bearing bank loans and borrowings

	<i>30.06.2018</i>	<i>31.12.2017</i>
Current		
Finance lease liabilities	40,288	43,551
Investment loans	84,708	66,232
Loans to finance current activity	9,455	6,867
Borrowing	432	424
Issue of debt securities	637	654
	135,520	117,728
Non-current		
Finance lease liabilities	67,624	84,172
Investment loans	441,541	361,359
Loans to finance current activity	27,297	24,008
Borrowing	833	1,051
Issue of debt securities	99,789	99,749
	637,084	570,339

DINO POLSKA S.A. GROUP

Interim condensed consolidated financial statements for the 6-month period ended 30 June 2018
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Additional notes
(in thousands of PLN)

Type of liability	Date agreement signed	Outstanding liability as at 30 June 2018 (thousands of PLN)*	Interest rate	Date of repayment	Collateral type
1. Credit facility with mBank	2013-11-22	1,953	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
2. Credit facility with mBank	2012-03-08	5,295	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
3. Credit facility with PKO BP	2012-01-26	-	WIBOR + margin	2018-10-28	joint contractual mortgage, assignment of rights to an insurance policy
4. Credit facility with PKO BP	2011-04-13	3,230	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights to an insurance policy
5. Credit facility with PKO BP	2013-05-23	38,819	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
6. Credit facility with PKO BP	2016-10-25	52,041	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
7. Agreement for an accounts receivable limit with Raiffeisen	2011-12-20	-	WIBOR + margin	2018-11-30	assignment of accounts receivable on account of card payments
8. Credit facility with mBank	2014-01-09	16,919	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
9. Credit facility with ING	2014-04-15	33,336	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
10. Credit facility with Bank Millennium	2014-12-18	8,591	WIBOR + margin	2020-06-17	joint contractual mortgage, assignment of rights to an insurance policy
11. Credit facility with mBank	2015-04-17	17,308	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
12. Credit facility with ING	2014-04-15	-	WIBOR + margin	2020-04-14	joint contractual mortgage, assignment of rights to an insurance policy
13. Credit facility with mBank	2016-08-16	4,011	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
14. Credit facility with mBank	2016-04-11	-	WIBOR + margin	2018-10-09	joint contractual mortgage, assignment of rights to an insurance policy
15. Credit facility with Millennium	2016-05-12	28,161	WIBOR + margin	2021-05-11	joint contractual mortgage, assignment of rights to an insurance policy
16. Borrowing from Siemens	2016-02-24	1,265	WIBOR + margin	2021-02-28	bill of exchange
17. Credit facility with PKO BP	2016-10-25	146,471	WIBOR + margin	2025-04-24	joint contractual mortgage, assignment of rights to an insurance policy

DINO POLSKA S.A. GROUP

Interim condensed consolidated financial statements for the 6-month period ended 30 June 2018
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Additional notes
(in thousands of PLN)

18. Credit facility with ING	2016-04-15	18,745	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
19. Credit facility with BGŻ BNP Paribas	2017-03-20	-	WIBOR + margin	2019-03-19	joint contractual mortgage, assignment of rights to an insurance policy
20. Credit facility with BGŻ BNP Paribas	2017-03-20	22,262	WIBOR + margin	2027-03-19	joint contractual mortgage, assignment of rights to an insurance policy
21. Credit facility with PKO BP	2016-10-25	15,278	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
22. Credit facility with mBank	2011-12-14	3,546	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
23. Credit facility with mBank	2009-12-22	-	WIBOR + margin	2018-11-01	joint contractual mortgage, registered pledge on inventories, assignment of rights to an insurance policy
24. Credit facility with BZ WBK	2016-05-24	26,501	WIBOR + margin	2021-04-30	joint contractual mortgage, assignment of rights to an insurance policy
25. Credit facility with mBank	2016-08-16	24,770	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
26. Credit facility with ING	2016-04-15	26,756	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
27. Credit facility with BZ WBK	2018-02-19	70,063	WIBOR + margin	2023-02-18	joint contractual mortgage, assignment of rights to an insurance policy
28. Credit facility with Bank Handlowy	2018-02-22	-	WIBOR + margin	2019-02-27	none
TOTAL		565,321			

* Balance of liabilities net of commissions.

In addition, the liabilities for loans and lease agreements also have security interests in the form of blank bills of exchange.

<i>Type of liability</i>	<i>Date agreement signed</i>	<i>Balance of liability as at 31 December 2017* (thousands of PLN)</i>	<i>Interest rate</i>	<i>Date of repayment</i>	<i>Collateral type</i>
1. Credit facility with mBank	2013-11-22	2,136	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
2. Credit facility with mBank	2012-03-08	6,052	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
3. Credit facility with PKO BP	2012-01-26	-	WIBOR + margin	2018-10-28	joint contractual mortgage, assignment of rights to an insurance policy
4. Credit facility with PKO BP	2011-04-13	3,788	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights to an insurance policy

DINO POLSKA S.A. GROUP
Interim condensed consolidated financial statements for the 6-month period ended 30 June 2018
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Additional notes
(in thousands of PLN)

5. Credit facility with PKO BP	2013-05-23	44,236	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
6. Credit facility with PKO BP	2016-10-25	56,149	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
7. Agreement for an accounts receivable limit with Raiffeisen	2011-12-20	-	WIBOR + margin	2018-11-30	assignment of accounts receivable on account of card payments
8. Credit facility with BZ WBK	2012-07-31	21,568	WIBOR + margin	2022-07-31	joint contractual mortgage, assignment of rights to an insurance policy
9. Credit facility with BZ WBK	2014-02-20	10,964	WIBOR + margin	2019-02-28	joint contractual mortgage, assignment of rights to an insurance policy
10. Credit facility with mBank	2014-01-09	18,512	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
11. Credit facility with ING	2014-04-15	37,502	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
12. Credit facility with Bank Millennium	2014-12-18	10,252	WIBOR + margin	2020-06-17	joint contractual mortgage, assignment of rights to an insurance policy
13. Credit facility with mBank	2015-04-17	18,590	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
14. Credit facility with BZ WBK	2015-02-05	20,774	WIBOR + margin	2020-01-31	joint contractual mortgage, assignment of rights to an insurance policy
15. Credit facility with BZ WBK	2014-07-31	3,050	WIBOR + margin	2019-07-31	joint contractual mortgage, assignment of rights to an insurance policy
16. Credit facility with ING	2014-04-15	-	WIBOR + margin	2018-04-14	joint contractual mortgage, assignment of rights to an insurance policy
17. Credit facility with Millennium	2012-04-27	-	WIBOR + margin	2018-06-25	joint contractual mortgage, assignment of rights to an insurance policy
18. Credit facility with BZ WBK	2016-09-30	19,441	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
19. Credit facility with mBank	2016-08-16	4,269	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
20. Credit facility with mBank	2016-04-11	-	WIBOR + margin	2018-10-09	joint contractual mortgage, assignment of rights to an insurance policy
21. Credit facility with Millennium	2016-05-12	20,623	WIBOR + margin	2021-05-11	joint contractual mortgage, assignment of rights to an insurance policy
22. Borrowing from Siemens	2016-02-24	1,475	WIBOR + margin	2021-02-28	bill of exchange
23. Credit facility with PKO BP	2016-10-25	35,104	WIBOR + margin	2025-04-24	joint contractual mortgage, assignment of rights to an insurance policy
24. Credit facility with ING	2016-04-15	18,745	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy

DINO POLSKA S.A. GROUP
Interim condensed consolidated financial statements for the 6-month period ended 30 June 2018
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Additional notes
(in thousands of PLN)

25. Credit facility with BGŻ BNP Paribas	2017-03-20	-	WIBOR + margin	2019-03-19	joint contractual mortgage, assignment of rights to an insurance policy
26. Credit facility with BGŻ BNP Paribas	2017-03-20	22,262	WIBOR + margin	2027-03-19	joint contractual mortgage, assignment of rights to an insurance policy
27. Credit facility with PKO BP	2016-10-25	10,022	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
28. Credit facility with mBank	2011-12-14	4,106	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
29. Credit facility with mBank	2009-12-22	-	WIBOR + margin	2018-11-01	joint contractual mortgage, registered pledge on inventories, assignment of rights to an insurance policy
30. Credit facility with BZ WBK	2016-05-24	28,307	WIBOR + margin	2021-04-30	joint contractual mortgage, assignment of rights to an insurance policy
31. Credit facility with mBank	2016-08-16	26,570	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
32. Credit facility with ING	2016-04-15	16,317	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
TOTAL		460,814			

* Balance of liabilities net of commissions.

In addition, the liabilities for loans and lease agreements also have security interests in the form of blank bills of exchange.

17. Other significant changes

17.1. Non-recurring amounts and events

No non-recurring events transpired in the Dino Group's business in the period from 1 January 2018 to 30 June 2018.

In the period from 1 January 2017 to 30 June 2017, the results of the Dino Group were affected by the costs of the Company's initial public offering of shares carried out at the turn of March and April 2017. The sum total of these costs in H1 2017 was PLN 12,272 thousand.

17.2. Equities

The Group did not issue, redeem or pay down any securities, whether equities or not in the period from 1 January 2018 to 30 June 2018.

On 18 April 2017, the Management Board of the Warsaw Stock Exchange decided to introduce 98,040,000 series A Company shares with a par value of PLN 0.10 for stock exchange trading on the main floor under the ordinary procedure as of 19 April 2017.

17.3. Litigation

No material litigation was launched in the period from 1 January 2018 to 30 June 2018 or from 1 January 2017 to 30 June 2017.

17.4. Contingent liabilities and contingent assets

As at 30 June 2018 the Group had contingent liabilities arising from concluded preliminary agreements in the amount of PLN 246,070 thousand.

As at 30 June 2017 the Group had contingent liabilities arising from concluded preliminary agreements in the amount of PLN 124,984 thousand.

As at the date of preparing the interim condensed consolidated financial statements the Group did not have any other contingent liabilities than the ones enumerated above and in note 16.

17.5. Obligations to incur capital expenditures

As at the date of preparing the interim condensed consolidated financial statements, the financial liabilities for property, plant and equipment purchases were related mainly to the purchase of land and construction services related to the ongoing rollout of the Dino Polska Group's store network. The total figure was PLN 73,158 thousand (PLN 66,946 thousand as at 31 December 2017).

17.6. Cash and cash equivalents

For the purposes of the interim condensed statement of cash flows, cash and cash equivalents consist of the following line items:

	<u>30.06.2018</u>	<u>30.06.2017</u>
Cash at bank and in hand	89,670	26,502
Short-term deposits	81,968	8,768
Other cash (cash in transit due to card payments)	18,449	7,780
Total	<u>190,087</u>	<u>43,050</u>

The following tables depict the reasons for the differences between the balance sheet movements in the interim condensed consolidated statement of financial position and the movements following from the interim condensed consolidated statement of cash flows:

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Movement in receivables resulting from the consolidated statement of financial position	18,446	4,412
Movement in receivables on the sale of fixed assets	(434)	(376)
Movement in state budget receivables	(2,778)	(7,650)
Movement in receivables in the consolidated statement of cash flows	15,234	(3,614)

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Movement in liabilities resulting from the consolidated statement of financial position	78,792	86,718
Movement in loans	(104,325)	(53,240)
Movement in finance lease liabilities	19,811	(17,628)
Movement in investment settlements	(5,752)	3,290
Movement in income tax liabilities	(793)	(5,262)
Movement in liabilities in the consolidated statement of cash flows	(12,267)	13,878

In H1 2017 cash flow from operating activities was adjusted for non-cash costs of PLN 7,500 thousand.

17.7. Other selected disclosures

In H1 2018 there were no material events requiring disclosure in the Group's interim condensed consolidated financial statements.

The Incentive Program was in effect in the Company in H1 2017. The details of the incentive program were presented in the 2016 consolidated financial statements.

18. Business combinations and purchases of non-controlling interests

No business combination took place in the period for which the interim condensed consolidated financial statements have been prepared, nor were any interests purchased or sold.

19. Objectives and principles of managing financial risk

The main financial instruments used by the Group include bank loans, borrowings, financial lease agreements and lease agreements with an option to buy, cash and short-term deposits. The main objective of these instruments is to raise funding for Group's activities. The Group also holds various other financial instruments, such as trade receivables and payables, which arise directly from its activities. The rule followed by the Group currently and throughout the whole period covered by the consolidated financial statements is to refrain from dealing in financial instruments.

The main types of risk arising from the Group's financial instruments include interest rate risk, liquidity risk, FX risk and credit risk. The parent company's Management Board verifies and agrees the principles of managing each one of these types of risk.

No material changes were made to the rules of financial risk management in the 6-month period ended 30 June 2018 compared to the 2017 consolidated financial statements.

The parent company's Management Board incorporates the Group's positive results (including EBITDA) in its analysis of the risks ensuing from financial instruments. Dino Group's EBITDA was PLN 228,987 thousand in H1 2018, PLN 166,238 in H1 2017 and PLN 401,386 thousand in the period from 1 January 2017 to 31 December 2017. During the last 12 months, i.e. from 1 July 2017 to 30 June 2018 the Dino Group generated EBITDA of PLN 464,135 thousand. the Dino Group defines EBITDA as earnings before interest, depreciation and amortization and adjusted for non-recurring costs related to the initial public offering of the Dino Polska shares held at the turn of March and April 2017. Non-recurring costs totaled PLN 12,272 thousand in 2017. These costs included: costs of preparation and conduct of the offering, costs of consulting and preparation of the prospectus, costs of promotion of the offering and costs under the incentive program for the management staff.

20. Financial instruments

In the Group's opinion, the fair value of cash, short-term deposits, trade receivables, trade payables, bank loans, other loans, outstanding bonds and finance lease liabilities does not deviate from their carrying amounts. In the 6-month period ended 30 June 2018, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

Far value of individual classes of financial instruments

	<i>Fair value</i>	
	<i>30.06.2018</i>	<i>31.12.2017</i>
<i>Financial assets – Loans and receivables</i>		
Trade and other receivables	19,545	37,991
Total	19,545	37,991
	<i>Fair value</i>	
	<i>30.06.2018</i>	<i>31.12.2017</i>
<i>Non-current financial liabilities – carried at amortized cost</i>		
Interest-bearing loans and borrowings	469,671	386,418
Issue of debt securities	99,789	99,749
Liabilities under financial lease agreements and hire-purchase agreements	67,624	84,172
Total	637,084	570,339
<i>Current financial liabilities – carried at amortized cost</i>		
Interest-bearing loans and borrowings	94,595	73,523
Issue of debt securities	637	654
Liabilities under financial lease agreements and hire-purchase agreements	40,288	43,551
Trade payables	648,100	663,528
Total	783,620	781,256

21. Discontinued activity

In the period covered by these interim condensed consolidated financial statements the Group has not discontinued any operations and it does not plan any discontinuation in the future.

22. Related party transactions

The table below presents the total amounts of the transactions executed with related parties during the six-month period ended 30 June 2018 and 2017 (for sales and purchases) and as at 30 June 2018 and 31 December 2017 (for receivables and liabilities):

DINO POLSKA S.A. GROUP

Interim condensed consolidated financial statements for the 6-month period ended 30 June 2018
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Additional notes
(in thousands of PLN)

<i>Related party</i>	<i>Sale to related parties</i>	<i>Purchases from related parties</i>	<i>Receivables from related parties</i>	<i>Liabilities to related parties</i>
Key managers (Management Board members) of the Group				
2018	-	-	-	-
2017	-	-	-	-
Supervisory Board				
2018	-	-	-	-
2017	-	-	-	-
	<i>Sale to related parties</i>	<i>Purchases from related parties</i>	<i>Receivables from related parties</i>	<i>Liabilities to related parties</i>
<i>Parties related through the majority owner</i>				
Zakłady Mięsne "Biernacki" Tomasz Biernacki				
2018	-	261	-	50
2017	1	232	8	105
BT Development BT Kapitał sp. z o.o. sp.k.				
2018	8	1,986	2	491
2017	22	1,726	2	840
BT Nieruchomości sp. z o.o.				
2018	-	185	-	46
2017	-	180	-	82
Inwestycje BT Kapitał sp. z o.o. SKA				
2018	-	-	-	-
2017	-	-	1	-
Krot Invest KR Inżynieria sp. z o.o. SKA				
2018	450	115,048	139	48,896
2017	332	86,870	69	44,339
Krot Invest 2 KR Inżynieria sp. z o.o. sp.k.				
2018	-	7,784	-	2,289
2017	-	4,995	-	2,159
Zielony Rynek 1 BT Kapitał sp. z o.o. sp.k.				
2018	1	485	1	66
2017	2	196	3	125
Zielony Rynek 2 BT Kapitał sp. z o.o. sp.k.				
2018	5	221	2	53
2017	1	181	3	90
Zielony Rynek 3 BT Kapitał sp. z o.o. sp.k.				
2018	2	755	1	205
2017	2	780	8	395
Zielony Rynek 4 BT Kapitał sp. z o.o. sp.k.				
2018	19	680	-	172
2017	-	534	39	305
Zielony Rynek 6 BT Kapitał sp. z o.o. sp.k.				
2018	1	341	-	611
2017	-	1,208	15	818
Mleczarnia Naramowice sp. z o.o.				
2018	-	-	-	-
2017	22	4,412	-	-

DINO POLSKA S.A. GROUP

Interim condensed consolidated financial statements for the 6-month period ended 30 June 2018
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Additional notes
(in thousands of PLN)

*Parties related through a minority owner***

Harper Hygienics S.A.

2017	-	519	-	-
------	---	-----	---	---

Hoop Polska sp. z o.o.

2017	-	1,157	-	-
------	---	-------	---	---

Dystrybucja Polska sp. z o.o.

2017	-	-	-	-
------	---	---	---	---

EP Serwis S.A.

2017	-	-	-	-
------	---	---	---	---

Parties related through key personnel

Agrofirma Spółdzielcza

2018	4	92	-	-
------	---	----	---	---

2017	2	-	-	4
------	---	---	---	---

TBE sp. z o.o.

2018	-	431	2	48
------	---	-----	---	----

2017	3	380	1	75
------	---	-----	---	----

** Since 19 April 2017, the companies related through a minority owner are no longer related parties, and consequently transactions concluded after this date are presented as transactions with other entities.*

Related party transactions were routine in nature and concluded on the arm's length basis, at prices no different from the prices used in transactions between unrelated parties.

23. Events after the reporting period

No material events transpired up to the date of preparation of these interim condensed consolidated financial statements that would require recognition or description hereunder.

DINO POLSKA S.A.

**INTERIM CONDENSED FINANCIAL STATEMENTS
FOR THE 6-MONTH PERIOD ENDED 30 JUNE 2018
WITH THE INDEPENDENT AUDITOR'S REPORT ON ITS REVIEW**

Table of contents

Financial highlights	3
Interim condensed statement of profit or loss	4
Interim condensed balance sheet	5
Interim condensed statement of cash flows	7
Interim condensed statement of changes in equity	8
Additional notes	9
1. General information	9
2. Basis for preparation of the interim condensed financial statements	9
3. Significant accounting principles (policies)	9
4. Change of estimates and corrections of errors	10
5. Business seasonality	10
6. Dividends distributed and proposed for distribution	10
7. Income and expenses	10
7.1. Other operating income	10
7.2. Other operating expenses	10
7.3. Financial income	10
7.4. Financial expenses	11
8. Income tax	11
9. Property, plant and equipment	13
10. Intangible assets	15
11. Investments in subsidiaries, associates and co-subsiidiaries	15
12. Inventories	15
13. Impairment losses for receivables	15
14. Capital	16
15. Provisions	16
16. Interest-bearing bank loans and borrowings	17
17. Other significant changes	21
17.1. Non-recurring amounts and events	21
17.2. Equities	21
17.3. Litigation	21
17.4. Contingent liabilities, also including the guarantees and sureties extended by the entity, also on bills of exchange and contingent assets	21
17.5. Obligations to incur capital expenditures	22
17.6. Cash and cash equivalents	22
17.7. Other selected disclosures	22
18. Objectives and principles of managing financial risk	23
19. Financial instruments	23
20. Discontinued activity	23
21. Related party transactions	23
22. Events after the reporting period	30

FINANCIAL HIGHLIGHTS

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>from 1 January 2018 to 30 June 2018</i>	<i>from 1 January 2017 to 30 June 2017</i>	<i>from 1 January 2018 to 30 June 2018</i>	<i>from 1 January 2017 to 30 June 2017</i>
Sales revenues	2,702,225	2,011,153	637,392	473,502
Operating profit	90,642	54,173	21,380	12,754
Profit before tax	69,438	34,561	16,379	8,137
Net profit	51,212	23,030	12,080	5,422
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	0.52	0.23	0.12	0.06
Cash flow from operating activities	184,359	66,942	43,486	15,761
Cash flow from investing activities	(248,668)	(135,391)	(58,655)	(31,876)
Cash flow from financing activities	50,069	44,231	11,810	10,41
Net change in cash and cash equivalents	(14,240)	(24,218)	(3,359)	(5,702)

* In the case of data in EUR, the average EUR/PLN exchange rate in the period was used, as published by the National Bank of Poland:

- NBP's average exchange rate for H1 2018: PLN 4.2395/EUR;
- NBP's average exchange rate for H1 2017: PLN 4.2474/EUR.

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>as at 30 June 2018</i>	<i>as at 31 December 2017</i>	<i>as at 30 June 2018</i>	<i>as at 31 December 2017</i>
Total assets	2,428,903	2,251,673	556,883	539,853
Total non-current assets	1,737,322	1,540,524	398,322	369,350
Total current assets	691,581	711,149	158,561	170,503
Equity	709,370	658,158	162,640	157,798
Share capital	9,804	9,804	2,248	2,351
Non-current liabilities	551,581	492,041	126,463	117,970
Current liabilities	1,119,740	1,064,007	256,727	255,102

* In the case of data in EUR, the average EUR/PLN exchange rates in the period were used, as published by the National Bank of Poland:

- NBP's average exchange rate as at 30 June 2018: 4.3616 PLN/EUR;
- NBP's average exchange rate as at 31 December 2017: 4.1709 PLN/EUR.

INTERIM CONDENSED STATEMENT OF PROFIT OR LOSS

for the 6-month period ended 30 June 2018

(in thousands of PLN)

	Note	01.01.2018- 30.06.2018 (unaudited)	01.01.2017- 30.06.2017 (unaudited)
A. Net revenues on sales and equivalents		2,702,225	2,011,153
- from related entities		2,234	1,205
I. Net revenues on sales of products		4,959	3,648
IV. Net revenue on sales of goods and materials		2,697,266	2,007,505
B. Operating expenses		2,613,364	1,957,401
I. Depreciation and amortization		38,828	27,502
II. Consumption of materials and energy		35,355	29,771
III. External services		173,079	138,209
IV. Taxes and fees		10,715	7,623
V. Salaries		224,475	168,563
VI. Social security and other benefits, of which:		48,475	34,252
- pension		21,339	14,914
VII. Other costs by nature		10,645	6,853
VIII. Cost of goods and materials sold		2,071,792	1,544,628
C. Sales profit (loss) (A – B)		88,861	53,752
D. Other operating income	7.1	2,700	725
I. Profit on disposal of non-financial non-current assets		-	-
II. Grants		101	-
III. Revaluation of non-financial assets		-	-
IV. Other operating income		2,599	725
E. Other operating expenses	7.2	919	304
I. Loss on disposal of non-financial non-current assets		559	122
II. Revaluation of non-financial assets		-	-
III. Other operating expenses		360	182
F. Operating profit (loss) (C+D-E)		90,642	54,173
G. Financial income	7.3	1,908	933
I. Dividends i profit sharing		-	-
II. Interest, including:		1,908	909
- from related entities		1,830	907
III. Profit on disposal of financial assets		-	-
IV. Revaluation of financial assets		-	-
V. Other		-	24
H. Financial expenses	7.4	23,112	20,545
I. Interest, including:		20,190	17,186
- to related entities		949	811
II. Loss on disposal of financial assets		-	-
III. Revaluation of financial assets		-	-
IV. Other		2,922	3,359
I. Profit / (loss) before tax (F + G - H)		69,438	34,561
J. Income tax	8	18,226	11,531
K. Other mandatory decreases of profit (increases of loss)		-	-
L. Net profit (loss) (I – J – K)		51,212	23,030

INTERIM CONDENSED BALANCE SHEET

as at 30 June 2018

(in thousands of PLN)

	Note	30.06.2018 (unaudited)	31.12.2017
Assets			
A. Non-current assets		1,737,322	1,540,524
I. Intangible assets	10	11,017	10,284
1. Costs of completed development work		-	-
2. Goodwill		-	-
3. Other intangible assets		11,017	10,284
II. Property, plant and equipment	9	967,590	773,768
1. Fixed assets		885,915	722,315
a) land (including the right of usufruct to land)		165,624	126,192
b) buildings, premises, rights to premises and civil and marine engineering facilities		425,914	323,573
c) technical equipment and machinery		161,672	145,299
d) means of transport		27,690	29,104
e) other fixed assets		105,015	98,147
2. Fixed assets under construction		81,675	51,453
III. Non-current receivables		-	-
IV. Non-current investments		738,809	738,809
1. Real estate		-	-
2. Intangible assets		-	-
3. Long-term financial assets		738,809	738,809
a) in related entities		738,809	738,809
- ownership interests or shares		737,151	737,151
- other securities	11	1,658	1,658
V. Non-current deferred revenue		19,906	17,663
1. Deferred tax assets	8	19,906	17,663
B. Current assets		691,581	711,149
I. Inventories	12	363,864	358,573
4. Merchandise		363,864	358,573
II. Current receivables		43,695	62,821
1. Receivables from related entities	21	810	1,724
a) for goods and services with a term of payment:		756	1,206
- up to 12 months		756	1,206
b) other		54	518
2. Receivables from other entities to which the company has equity exposure		-	-
3. Receivables from other entities		42,885	61,097
a) for goods and services with a term of payment:	13	13,716	29,437
- up to 12 months		13,716	29,437
b) on taxes, grants, customs duties, social security and health insurance and other public dues		25,336	26,566
c) other		3,833	5,094
III. Current investments		267,248	257,052
1. Current financial assets		267,248	257,052
a) in related entities	21	95,880	71,444
- other securities	11	24,857	24,121
- loans granted		71,023	47,323
b) in other entities		-	-
c) cash and other cash assets	17.6	171,368	185,608
- cash on hand and on accounts		82,404	67,060
- other cash		88,964	118,548
IV. Current deferred revenue		16,774	32,703
C. Contributions due to share capital		-	-
D. Treasury stock		-	-
Total assets		2,428,903	2,251,673

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2018
(in thousands of PLN)

<i>(in thousands of PLN)</i>	<i>Note</i>	30.06.2018	31.12.2017
Liabilities and equity		<i>(unaudited)</i>	
A. Equity		709,370	658,158
I. Share capital	14	9,804	9,804
II. Supplementary capital		640,854	548,350
III. Revaluation reserve (fund)		-	-
IV. Other reserve capital (fund)		-	-
V. Profit (loss) brought forward		-	-
VI. Net profit (loss)		51,212	92,504
VII. Other items of equity	17.7	7,500	7,500
B. Liabilities and provisions for liabilities		1,719,533	1,593,515
I. Provisions for liabilities	15	25,683	18,219
1. Provision for deferred tax liability	8	24,313	16,849
2. Provision for pension and similar benefits	15	1,370	1,370
- non-current		1,048	1,048
- current		322	322
II. Non-current liabilities		551,581	492,041
1. To related entities		-	-
2. To other entities in which the company has equity exposure		-	-
3. To other entities		551,581	492,041
a) bank loans and borrowings	16	387,181	312,310
b) for issue of debt securities	16	99,789	99,750
c) other financial liabilities	16	64,611	79,981
III. Current liabilities		1,119,740	1,064,007
1. Liabilities to related entities		295,807	257,794
a) for goods and services with a term of being due and payable:		187,740	157,264
- up to 12 months		187,740	157,264
b) other		108,067	100,530
2. Liabilities to other entities in which the company has equity exposure		-	-
3. Liabilities to other entities		823,933	806,213
a) bank loans and borrowings	16	80,233	62,308
b) for issue of debt securities	16	637	654
c) other financial liabilities	16	37,486	40,384
d) for goods and services with a term of being due and payable:		596,092	608,702
- up to 12 months		596,092	608,702
- above 12 months		-	-
e) advances received for supplies and services		-	-
f) liabilities for bills of exchange		-	-
g) on taxes, customs duties, social security and health insurance or other public		55,785	45,435
h) payroll		36,721	31,052
i) other		16,979	17,678
IV. Accruals and deferred revenue		22,529	19,248
1. Negative goodwill		-	-
2. Other deferred revenue		22,529	19,248
- non-current		337	439
- current		22,192	18,809
Total liabilities and equity		2,428,903	2,251,673

INTERIM CONDENSED STATEMENT OF CASH FLOWS

(in thousands of PLN)

	Note	01.01.2018- 30.06.2018 (unaudited)	01.01.2017- 30.06.2017 (unaudited)
A. Cash flow from operating activities			
I. Net profit (loss)		51,212	23,030
II. Total adjustments		133,147	43,912
1. Depreciation and amortization		38,828	27,502
2. Gains (losses) arising from changes in foreign currency exchange rates		-	-
3. Interest and profit sharing (dividends)	17.6	19,316	18,126
4. Profit (loss) on investing activity		559	122
5. Movement in provisions		7,464	1,822
6. Movement in inventories		(5,291)	(23,473)
7. Movement in receivables	17.6	18,582	(3,690)
8. Movement in current liabilities, except for loans and borrowings	17.6	36,722	(40)
9. Movement in prepayments, accruals and deferred revenue		16,967	16,043
10. Other adjustments		-	7,500
III. Net cash from operating activities (I±II)		184,359	66,942
B. Cash flow from investing activities			
I. Inflows		3,026	12,243
1. Sale of intangible assets and property, plant and equipment		1,029	2,103
2. Sale of investments in real property and intangible assets		-	-
3. From financial assets, of which:		1,997	10,140
a) in related entities		1,918	10,138
b) in other entities		79	2
- interest		79	2
II. Outflows		(251,694)	(147,634)
1. Purchase of intangible assets and property, plant and equipment		(227,169)	(139,958)
2. Investments in real property and intangible assets		-	-
3. Towards financial assets, of which:		(24,525)	(7,676)
a) in related entities		(24,525)	(7,676)
III. Net cash from investing activities (I-II)		(248,668)	(135,391)
C. Cash flow from financing activities			
I. Inflows		197,204	119,130
1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions		-	-
2. Loans and borrowings		197,204	81,130
3. Issue of debt securities		-	38,000
II. Outflows		(147,135)	(74,899)
1. Purchase of treasury shares		-	-
2. Dividends and other distributions to owners		-	-
3. Profit-sharing expenditures other than distributions to owners		-	-
4. Repayment of loans and borrowings		(104,409)	(30,931)
5. Redemption of debt securities		-	(1,000)
6. On account of other financial liabilities		-	-
7. Payment of finance lease liabilities		(20,570)	(22,424)
8. Interest		(19,410)	(17,412)
9. Other financial expenditures		(2,746)	(3,132)
III. Net cash from financing activities (I-II)		50,069	44,231
D. Total net cash flow (A.III±B.III±C.III)		(14,240)	(24,218)
E. Balance sheet movement in cash, including		(14,240)	(24,218)
- movement in cash arising from changes in foreign currency exchange rates		-	-
F. Cash at the beginning of the period		185,608	54,232
G. Cash at the end of the period (F±D), including	17.6	171,368	30,014
- restricted cash		-	-

INTERIM CONDENSED STATEMENT OF CHANGES IN EQUITY

for the 6-month period ended 30 June 2018

(in thousands of PLN)

	01.01.2018- 30.06.2018	01.01.2017- 31.12.2017	01.01.2017- 30.06.2017
	(unaudited)		(unaudited)
I. Equity at the beginning of the period (OB)	658,158	558,154	558,154
- amendments to accounting policies	-	-	-
- corrections of errors	-	-	-
I.a. Equity at the beginning of the period (OB), adjusted	658,158	558,154	558,154
1. Share capital at the beginning of the period	9,804	9,804	9,804
1.1. Movement in share capital	-	-	-
(i) increase	-	-	-
b) decrease	-	-	-
1.2. Share capital at the end of the period	9,804	9,804	9,804
2. Supplementary capital at the beginning of the period	548,350	268,902	268,902
2.1. Changes to supplementary capital	92,504	279,448	279,448
(i) increase	92,504	279,448	279,448
- profit distribution	92,504	279,448	279,448
b) decrease	-	-	-
2.2. Balance of supplementary capital at the end of the period	640,854	548,350	548,350
3. Revaluation reserve at the beginning of the period	-	-	-
3.1. Changes in the revaluation reserve	-	-	-
(i) increase	-	-	-
b) decrease	-	-	-
3.2. Revaluation reserve at the end of the period	-	-	-
4. Other reserve capital at the beginning of the period	-	-	-
4.1. Change in other reserve capital	-	-	-
(i) increase	-	-	-
b) decrease	-	-	-
4.2. Other reserve capital at the end of the period	-	-	-
5. Profit (loss) brought forward at the beginning of the period	92,504	279,448	279,448
5.1. Profit brought forward at the beginning of the period	92,504	279,448	279,448
5.2. Profit carried forward at the beginning of the period, adjusted	92,504	279,448	279,448
(i) increase	-	-	-
b) decrease	(92,504)	(279,448)	(279,448)
- distribution of profits brought forward	(92,504)	(279,448)	(279,448)
5.3. Profit brought forward at the end of the period	-	-	-
5.4. Loss brought forward at the beginning of the period	-	-	-
5.5. Loss brought forward at the beginning of the period, adjusted	-	-	-
(i) increase	-	-	-
b) decrease	-	-	-
5.6. Losses brought forward at the end of the period	-	-	-
5.7. Profit (loss) brought forward at the end of the period	-	-	-
6. Net result	51,212	92,504	23,030
a) net profit	51,212	92,504	23,030
b) net loss	-	-	-
c) charges to profit	-	-	-
7. Other items of equity	7,500	7,500	7,500
II. Equity at the end of the period (CB)	709,370	658,158	588,684
III. Equity after considering the proposed distribution of profits (coverage of losses)	709,370	658,158	588,684

ADDITIONAL NOTES

1. General information

Dino Polska S.A. ("Company") is a joint stock company with its registered office in Krotoszyn whose shares are publicly traded. The Company's interim condensed financial statements span the 6-month period ended 30 June 2018 and contain comparative data for the 6-month period ended 30 June 2017 and as at 31 December 2017.

The Company is entered in the register of commercial undertakings of the National Court Register kept by the District Court, 9th Commercial Division of the National Court Register under file number KRS 0000408273. The Company has been given the following statistical number: REGON 300820828.

The Company's duration is unlimited.

According to the Company's articles of association, the Company's core business is:

1. 47.11.Z Retail sale in non-specialized stores with food, beverages or tobacco products predominating,
2. 46.39.Z Non-specialized wholesale of food, beverages and tobacco products.

The Company's interim condensed financial statements for the 6-month period ended 30 June 2018 have been approved for publication by the Management Board.

2. Basis for preparation of the interim condensed financial statements

These interim condensed financial statements were drawn up pursuant to the provisions of the Accounting Act of 29 September 1994 (hereinafter "Accounting Act") and according to the requirements set forth in the Finance Minister's Regulation of 29 February 2018 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2018, Item 757).

These interim condensed financial statements do not contain all the information and disclosures required in annual financial statements and should be read jointly with the Company's financial statements for the year ended 31 December 2017 and approved for publication on 16 March 2018.

These interim condensed financial statements are presented in Polish zloty ("PLN"), while all the figures are stated in thousands of PLN, unless stated otherwise.

These interim condensed financial statements were drawn up under the assumption that the Company remains a going concern for at least 12 months after the balance sheet date, i.e. after 30 June 2018. As at 30 June 2018, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are minimized and suppliers offer deferred payment terms. At the same time, the Company intensively develops its network using free cash and funding from bank loans to increase the value of the investments. Conditions precedent related to the loan agreements are monitored on an ongoing basis and as of now there is no risk of termination of these agreements by the banks. The Company's Management Board did not identify, as at the date of signing the financial statements, any other facts or circumstances that would point to any threat to the Company's ability to continue its activity for at least 12 months after the balance sheet date as a result of intentional or induced discontinuation or material curtailment of its existing activity.

The interim financial result may not fully reflect the financial result that may be generated in the financial year.

3. Significant accounting principles (policies)

The accounting principles (policies) used to draw up the interim condensed financial statements are consistent with the ones that were used to draw up the Company's annual financial statements for the year that began on 1 January 2017.

4. Change of estimates and corrections of errors

No change of estimates and no correction of errors were made in the 6-month period ended 30 June 2018 versus 31 December 2017.

5. Business seasonality

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Company posts increased sales revenues in periods close to holidays and in the summer. Moreover, the Company's revenues also depend on the number of store openings, which in the winter, especially in the first quarter of the year, is lower than in the remaining quarters of the year, in particular lower than in Q3 and Q4, because of the weather conditions hindering construction work.

6. Dividends distributed and proposed for distribution

During the reporting period, the Company did not pay out a dividend.

7. Income and expenses

7.1. Other operating income

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Grants	101	-
Other operating income, including:	2,599	725
- received payments for damages	287	583
- income for making timely payments (0.3%)	49	34
- revenues on the sales of PMEF certificates	632	-
- other (including debit notes)	1,631	108
Total other operating income	2,700	725

7.2. Other operating expenses

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Loss on disposal of non-financial non-current assets, including:	559	122
- loss on the disposal of fixed assets and intangible assets	559	122
Other operating expenses, including:	360	182
- consequences of theft	192	130
- donations	54	-
- costs of court proceedings	-	22
- other	114	30
Total other operating expenses	919	304

7.3. Financial income

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Interest, including:	1,908	909
- interest from related companies	1,830	907

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2018
Additional notes
(in thousands of PLN)

- bank interest	78	2
Other, including:	-	24
- foreign exchange gains and losses	-	11
- other financial income	-	13
Total financial income	1,908	933

7.4. Financial expenses

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Interest, including:	20,190	17,186
- interest paid to related companies	949	811
- discount of trade payables	8,379	7,340
- interest paid to business partners	17	6
- bank interest	7,419	7,075
- interest on bonds	1,498	-
- interest on lease agreements	1,928	1,954
Other, including:	2,922	3,359
- foreign exchange gains and losses	45	-
- other financial expenses (commissions, sureties)	2,877	3,359
Total financial expenses	23,112	20,545

8. Income tax

The reconciliation of income tax on profit (loss) before tax at the statutory tax rate with income tax calculated at the Company's effective tax rate is as follows:

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Profit before tax	69,438	34,561
Tax at the statutory tax rate in Poland at 19% (comparative period: 19%)	13,193	6,567
Tax effect of expenses related to the incentive system	-	1,425
Income and expense items that are not taxable and other adjustments	5,033	3,539
Tax at the effective tax rate	18,226	11,531
Income tax (expense) recognized in profit or loss	18,226	11,531

Deferred tax is calculated on the basis of the following items:

	<i>Balance sheet</i>		<i>Profit and loss account</i>	
	<i>30.06.2018</i>	<i>31.12.2017</i>	<i>30.06.2018</i>	<i>30.06.2017</i>
<i>Deferred tax liability</i>				
Accelerated tax depreciation	13,832	11,353	2,479	739
Accrued interest unpaid as at the balance sheet date	1,079	752	327	(149)
Deferred income	9,402	4,742	4,660	6,905
Foreign exchange gains	-	2	(2)	(5)
Deferred tax liability	24,313	16,849		

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2018
Additional notes
(in thousands of PLN)

Deferred tax assets

Provisions for jubilee awards and pension severance pay	260	260	-	-
Provision for unused holiday leave	4,149	3,445	704	823
Provision for employee benefits / bonuses	846	599	247	(847)
Mandate contracts paid in the subsequent year	378	171	207	40
Social security contributions	2,924	2,616	308	298
Provision reducing inventories	9,111	8,496	615	1,720
Provision for auditing the financial statements	29	90	(61)	8
Provision for interest to be paid	404	532	(128)	(79)
Provision for other costs	1,766	1,414	352	9
Other (including license fees, foreign exchange losses, impairment losses for receivables)	39	40	(1)	3,764
Deferred tax assets	19,906	17,663		
Deferred tax expense			5,221	1,754

The details of transactions and tax risks were presented in the 2017 financial statements.

9. Property, plant and equipment

The 6-month period ended 30 June 2018

	<i>Land and buildings</i>	<i>Machinery and equipment</i>	<i>Means of transport</i>	<i>Other fixed assets</i>	<i>Fixed assets under construction</i>	<i>Total</i>
Gross value as at 1 January	462,420	221,550	40,523	175,577	51,453	951,523
Purchases	-	-	-	-	232,587	232,587
Sales	-	(501)	(358)	(13)	(190)	(1,062)
Liquidation	(53)	(795)	(36)	(2,688)	(193)	(3,765)
Transfer from fixed assets under construction	147,393	31,283	2,489	20,817	(201,982)	-
Gross value as at 30 June	609,760	251,537	42,618	193,693	81,675	1,179,283
Accumulated depreciation and impairment losses as at 1 January	12,655	76,251	11,419	77,430	-	177,755
Depreciation charge for the period	5,582	14,356	3,864	13,917	-	37,719
Sales	-	(270)	(345)	(9)	-	(624)
Liquidation	(15)	(472)	(10)	(2,660)	-	(3,157)
Accumulated depreciation and impairment losses as at 30 June	18,222	89,865	14,928	88,678	-	211,693
Net value as at 1 January	449,765	145,299	29,104	98,147	51,453	773,768
Net value as at 30 June	591,538	161,672	27,690	105,015	81,675	967,590

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2018
Additional notes
(in thousands of PLN)

Year ended 31 December 2017

	<i>Land and buildings</i>	<i>Machinery and equipment</i>	<i>Means of transport</i>	<i>Other fixed assets</i>	<i>Fixed assets under construction</i>	<i>Total</i>
Gross value as at 1 January	208,339	166,957	23,747	147,866	33,634	580,543
Purchases	-	-	-	-	387,414	387,414
Sales	(4,063)	(1,343)	(64)	(1,122)	(2,721)	(9,313)
Liquidation*	(277)	150	(699)	(5,297)	(998)	(7,121)
Transfer from fixed assets under construction	258,421	55,786	17,539	34,130	(365,876)	-
Gross value as at 31 December	462,420	221,550	40,523	175,577	51,453	951,523
Accumulated depreciation and impairment losses as at 1 January	6,027	52,892	6,404	58,616	-	123,939
Depreciation charge for the period	6,636	23,278	5,704	23,364	-	58,982
Sales	(6)	(2)	(54)	(43)	-	(105)
Liquidation*	(2)	83	(635)	(4,507)	-	(5,061)
Accumulated depreciation and impairment losses as at 31 December	12,655	76,251	11,419	77,430	-	177,755
Net value as at 1 January	202,312	114,065	17,343	89,250	33,634	456,604
Net value as at 31 December	449,765	145,299	29,104	98,147	51,453	773,768

* The line item entitled liquidation of machinery and equipment includes the reclassification between groups of current fixed assets.

10. Intangible assets

Purchase and sale

In the 6-month period ended 30 June 2018 the Company purchased intangible assets worth PLN 1,840 thousand (PLN 2,043 thousand in 2017).

11. Investments in subsidiaries, associates and co-subsidiaries

In the 6-month period ended 30 June 2018 there were no changes to the Company's investments in subsidiaries. The bonds of the subsidiary doing business as Centrum Wynajmu Nieruchomości sp. z o.o. worth a total of PLN 26,515 thousand make up the line item other securities.

12. Inventories

	<i>30.06.2018</i>	<i>31.12.2017</i>
Merchandise (as the net achievable value)	363,864	358,573
Total inventories measured at the net sales price	363,864	358,573

In the 6-month period ended 30 June 2018 the Company did not establish any impairment losses for inventories.

13. Impairment losses for receivables

	<i>Impairment losses for non-current receivables</i>	<i>Impairment losses for current receivables</i>
As at 1 January 2018	-	407
Increases	-	15
- impairment losses for settlements	-	15
Utilization	-	(22)
- impairment losses for settlements	-	(22)
Reversal	-	(20)
- impairment losses for settlements	-	(20)
As at 30 June 2018	-	380

	<i>Impairment losses for non-current receivables</i>	<i>Impairment losses for current receivables</i>
As at 1 January 2017	-	509
Increases	-	140
- impairment losses for settlements	-	140
Utilization	-	(239)
- impairment losses for settlements	-	(239)
Reversal	-	(3)
- impairment losses for settlements	-	(3)
As at 31 December 2017	-	407

14. Capital

As at 30 June 2018 the Company's share capital was PLN 9,804 thousand and was divided into 98,040,000 shares with a nominal value of PLN 0.10 each.

As at 31 December 2017 the Company's share capital was PLN 9,804 thousand and was divided into 98,040,000 shares with a nominal value of PLN 0.10 each.

As at the balance sheet date, the ownership structure of the Company's share capital was as follows:

30 June 2018

	<i>Number of shares and number of votes at the Shareholder Meeting</i>	<i>Share in the share capital and in votes at the Shareholder Meeting</i>
Tomasz Biernacki	50,103,000	51.10%
Other shareholders	47,937,000	48.90%
Total	98,040,000	100.00%

31 December 2017

	<i>Number of shares and number of votes at the Shareholder Meeting</i>	<i>Share in the share capital and in votes at the Shareholder Meeting</i>
Tomasz Biernacki	50,103,000	51.10%
Other shareholders	47,937,000	48.90%
Total	98,040,000	100.00%

15. Provisions

	<i>Provision for deferred tax liability</i>	<i>Provision for pension and disability benefits</i>	<i>Benefits under the incentive program</i>	<i>Total</i>
As at 1 January 2018	16,849	1,370	-	18,219
Increases	7,464	-	-	7,464
Utilization	-	-	-	-
As at 30 June 2018, including:	24,313	1,370	-	25,683
Long-term provisions	24,313	1,048	-	25,361
Short-term provisions	-	322	-	322
	<i>Provision for deferred tax liability</i>	<i>Provision for pension and similar benefits</i>	<i>Benefits under the incentive program</i>	<i>Total</i>
As at 1 January 2017	12,426	1,231	5,666	19,323
Increases	4,423	139	-	4,562
Utilization	-	-	(5,666)	(5,666)
As at 31 December 2017, including:	16,849	1,370	-	18,219
Non-current	16,849	1,048	-	17,897
Current	-	322	-	322

16. Interest-bearing bank loans and borrowings

	<i>30.06.2018</i>	<i>31.12.2017</i>
Current		
Finance lease liabilities	37,486	40,384
Investment loans	70,346	55,017
Loans to finance current activity	9,455	6,867
Borrowing	432	424
Issue of debt securities	637	654
	118,356	103,346
Non-current		
Finance lease liabilities	64,611	79,981
Investment loans	359,051	287,251
Loans to finance current activity	27,297	24,008
Borrowing	833	1,051
Issue of debt securities	99,789	99,750
	551,581	492,041

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2018
Additional notes
(in thousands of PLN)

<i>Type of liability</i>	<i>Date agreement signed</i>	<i>Outstanding liability as at 30 June 2018 (thousands of PLN)</i>	<i>Interest rate</i>	<i>Date of repayment</i>	<i>Collateral type</i>
1. Credit facility with mBank	2013-11-22	1,953	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
2. Credit facility with mBank	2012-03-08	5,295	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
3. Credit facility with PKO BP	2012-01-26	-	WIBOR + margin	2018-10-28	joint contractual mortgage, assignment of rights to an insurance policy
4. Credit facility with PKO BP	2011-04-13	3,230	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights to an insurance policy
5. Credit facility with PKO BP	2013-05-23	38,819	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
6. Credit facility with PKO BP	2016-10-25	52,041	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
7. Agreement for an accounts receivable limit with Raiffeisen	2011-12-20	-	WIBOR + margin	2018-11-30	assignment of accounts receivable on account of card payments
8. Credit facility with mBank	2014-01-09	16,919	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
9. Credit facility with ING	2014-04-15	33,336	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
10. Credit facility with Bank Millennium	2014-12-18	8,591	WIBOR + margin	2020-06-17	joint contractual mortgage, assignment of rights to an insurance policy
11. Credit facility with mBank	2015-04-17	17,308	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
12. Credit facility with ING	2014-04-15	-	WIBOR + margin	2020-04-14	joint contractual mortgage, assignment of rights to an insurance policy
13. Credit facility with mBank	2016-08-16	4,011	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
14. Credit facility with mBank	2016-04-11	-	WIBOR + margin	2018-10-09	joint contractual mortgage, assignment of rights to an insurance policy
15. Credit facility with Millennium	2016-05-12	28,161	WIBOR + margin	2021-05-11	joint contractual mortgage, assignment of rights to an insurance policy
16. Borrowing from Siemens	2016-02-24	1,265	WIBOR + margin	2021-02-28	bill of exchange
17. Credit facility with PKO BP	2016-10-25	146,471	WIBOR + margin	2025-04-24	joint contractual mortgage, assignment of rights to an insurance policy

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2018
Additional notes
(in thousands of PLN)

18. Credit facility with ING	2016-04-15	18,745	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
19. Credit facility with BGŻ BNP Paribas	2017-03-20	-	WIBOR + margin	2019-03-19	joint contractual mortgage, assignment of rights to an insurance policy
20. Credit facility with BGŻ BNP Paribas	2017-03-20	22,262	WIBOR + margin	2027-03-19	joint contractual mortgage, assignment of rights to an insurance policy
21. Credit facility with BZ WBK	2018-02-19	70,063	WIBOR + margin	2023-02-18	joint contractual mortgage, assignment of rights to an insurance policy
22. Credit facility with Bank Handlowy	2018-02-22	-	WIBOR + margin	2019-02-27	none
TOTAL		468,470			

* *Balance of liabilities net of commissions.*

In addition, the liabilities for loans and lease agreements also have security interests in the form of blank bills of exchange.

<i>Type of liability</i>	<i>Date agreement signed</i>	<i>Balance of liability as at 31 December 2017* (thousands of PLN)</i>	<i>Interest rate</i>	<i>Date of repayment</i>	<i>Collateral type</i>
1. Credit facility with mBank	2013-11-22	2,136	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
2. Credit facility with mBank	2012-03-08	6,052	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
3. Credit facility with PKO BP	2012-01-26	-	WIBOR + margin	2018-10-28	joint contractual mortgage, assignment of rights to an insurance policy
4. Credit facility with PKO BP	2011-04-13	3,788	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights to an insurance policy
5. Credit facility with PKO BP	2013-05-23	44,236	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
6. Credit facility with PKO BP	2016-10-25	56,149	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
7. Agreement for an accounts receivable limit with Raiffeisen	2011-12-20	-	WIBOR + margin	2018-11-30	assignment of accounts receivable on account of card payments
8. Credit facility with BZ WBK	2012-07-31	21,568	WIBOR + margin	2022-07-31	joint contractual mortgage, assignment of rights to an insurance policy
9. Credit facility with BZ WBK	2014-02-20	10,964	WIBOR + margin	2019-02-28	joint contractual mortgage, assignment of rights to an insurance policy

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2018
Additional notes
(in thousands of PLN)

10. Credit facility with mBank	2014-01-09	18,512	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
11. Credit facility with ING	2014-04-15	37,502	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
12. Credit facility with Bank Millennium	2014-12-18	10,252	WIBOR + margin	2020-06-17	joint contractual mortgage, assignment of rights to an insurance policy
13. Credit facility with mBank	2015-04-17	18,590	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
14. Credit facility with BZ WBK	2015-02-05	20,774	WIBOR + margin	2020-01-31	joint contractual mortgage, assignment of rights to an insurance policy
15. Credit facility with BZ WBK	2014-07-31	3,050	WIBOR + margin	2019-07-31	joint contractual mortgage, assignment of rights to an insurance policy
16. Credit facility with ING	2014-04-15	-	WIBOR + margin	2018-04-14	joint contractual mortgage, assignment of rights to an insurance policy
17. Credit facility with Millennium	2012-04-27	-	WIBOR + margin	2018-06-25	joint contractual mortgage, assignment of rights to an insurance policy
18. Credit facility with BZ WBK	2016-09-30	19,441	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
19. Credit facility with mBank	2016-08-16	4,269	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
20. Credit facility with mBank	2016-04-11	-	WIBOR + margin	2018-10-09	joint contractual mortgage, assignment of rights to an insurance policy
21. Credit facility with Millennium	2016-05-12	20,623	WIBOR + margin	2021-05-11	joint contractual mortgage, assignment of rights to an insurance policy
22. Borrowing from Siemens	2016-02-24	1,475	WIBOR + margin	2021-02-28	bill of exchange
23. Credit facility with PKO BP	2016-10-25	35,104	WIBOR + margin	2025-04-24	joint contractual mortgage, assignment of rights to an insurance policy
24. Credit facility with ING	2016-04-15	18,745	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
25. Credit facility with BGŻ BNP Paribas	2017-03-20	-	WIBOR + margin	2019-03-19	joint contractual mortgage, assignment of rights to an insurance policy
26. Credit facility with BGŻ BNP Paribas	2017-03-20	22,262	WIBOR + margin	2027-03-19	joint contractual mortgage, assignment of rights to an insurance policy
TOTAL		375,492			

* Balance of liabilities net of commissions.

In addition, the liabilities for loans and lease agreements also have security interests in the form of blank bills of exchange.

17. Other significant changes

17.1. Non-recurring amounts and events

No non-recurring events transpired in the Company's business in the period from 1 January 2018 to 30 June 2018.

In the period from 1 January 2017 to 30 June 2017, the results of the Dino Group were affected by the costs of the Company's initial public offering of shares carried out at the turn of March and April 2017. The sum total of these costs in H1 2017 was PLN 12,272 thousand.

17.2. Equities

The Company did not issue, redeem or pay down any securities, whether equities or not in the period from 1 January 2018 to 30 June 2018.

On 18 April 2017, the Management Board of the Warsaw Stock Exchange decided to introduce 98,040,000 series A Company shares with a par value of PLN 0.10 for stock exchange trading on the main floor under the ordinary procedure as of 19 April 2017.

17.3. Litigation

No material litigation was launched in the period from 1 January 2018 to 30 June 2018 or from 1 January 2017 to 30 June 2017.

17.4. Contingent liabilities, also including the guarantees and sureties extended by the entity, also on bills of exchange and contingent assets

As at 30 June 2018 the Company had the following contingent liabilities:

1. surety for amortization of an investment loan drawn down by Agro-Rydzyna sp. z o.o., agreement no. 40/105/11/Z/IN of 14 December 2011 entered into with BRE Bank S.A. for PLN 14,750 thousand. The loan has a floating interest rate. The final date of repayment is 31 August 2021. The surety covers the principal, interest on the principal and other costs.
2. surety for amortization of an investment loan drawn down by Dino Krotoszyn sp. z o.o., agreement no. 66102010260000159601153071 of 15 January 2018 entered into with PKO BP S.A. for PLN 16,074 thousand. The loan has a floating interest rate. The final date of repayment is 24 October 2024. The surety covers the principal, interest on the principal and other costs.
3. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., agreement no. 40/090/16/Z/IN of 16 August 2016 entered into with mBank S.A. for PLN 32,000 thousand. The loan has a floating interest rate. The final date of repayment is 30 July 2021. The surety covers the principal, interest on the principal and other costs.

As at 30 June 2017 the Company had the following contingent liabilities:

1. surety for amortization of an investment loan drawn down by Agro-Rydzyna sp. z o.o., agreement no. 40/105/11/Z/IN of 14 December 2011 entered into with BRE Bank S.A. for PLN 14,750 thousand. The loan has a floating interest rate. The final date of repayment is 31 August 2021. The surety covers the principal, interest on the principal and other costs.
2. surety for amortization of an investment loan drawn down by Dino Krotoszyn sp. z o.o., agreement no. 50102010260000119601043363 of 25 October 2016 entered into with PKO BP S.A. for PLN 11,350 thousand. The loan has a floating interest rate. The final date of repayment is 24 October 2024. The surety covers the principal, interest on the principal and other costs.
3. surety for amortization of an overdraft loan drawn down by Agro-Rydzyna sp. z o.o., agreement no. K00911/14 of 29 July 2014 executed with Bank Zachodni WBK S.A. for PLN 5,000 thousand PLN and annex 1 of 28 August 2015, annex 2 of 25 February 2016 adjusting the amount to PLN 10,000 thousand and annex 3 of 23 August 2016. The loan has a floating interest rate. The final date of repayment is 31 August 2017. The surety covers the principal, interest on the principal and other costs.
4. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., agreement no. 40/090/16/Z/IN of 16 August 2016 entered into with mBank S.A. for PLN 32,000 thousand. The

loan has a floating interest rate. The final date of repayment is 30 July 2021. The surety covers the principal, interest on the principal and other costs.

17.5. Obligations to incur capital expenditures

As at 30 June 2018, liabilities for property, plant and equipment purchases were related mainly to the purchase of land and construction services related to the ongoing rollout of the Dino Polska Group store network. The total figure was PLN 62,378 thousand (PLN 57,352 thousand as at 31 December 2017).

17.6. Cash and cash equivalents

For the purposes of the interim statement of cash flows, cash and cash equivalents consist of the following line items:

	<i>30.06.2018</i>	<i>30.06.2017</i>
Cash at bank and in hand	82,404	16,528
Short-term deposits	70,515	5,703
Other cash (cash in transit due to card payments)	18,449	7,783
Total	171,368	30,014

The tables below depict the reasons for the differences between the balance sheet movements in some line items and the movements following from the statement of cash flows:

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
<i>Interest and profit sharing</i>		
Result on financing activity for interest	18,281	16,277
Financial expenses - commissions and sureties received	1,035	1,849
Interest and profit sharing in the statement of cash flows	19,316	18,126

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
<i>Receivables</i>		
Balance sheet movement in net non-current and current receivables	19,126	(3,877)
Movement in receivables on the sale of fixed assets	(544)	187
Movement in receivables in the statement of cash flows	18,582	(3,690)

	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
<i>Liabilities</i>		
Balance sheet movement of current and non-current liabilities	115,273	97,912
Balance sheet movement of current and non-current loans and borrowings and bonds	(93,707)	(39,908)
Movement in bonds and investment certificates	-	(37,000)
Movement in finance lease liabilities	18,268	(18,317)
Movement in liabilities for the fees for received sureties	1,844	1,509
Movement in settlements on the purchase of fixed assets	(4,956)	(4,236)
Movement in liabilities in the statement of cash flows	36,722	(40)

In H1 2017 cash flow from operating activities was adjusted for non-cash costs of PLN 7,500 thousand.

17.7. Other selected disclosures

In H1 2018 there were no material events requiring disclosure in the Company's interim condensed financial statements.

The Incentive Program was in effect in the Company in H1 2017. The details of the incentive program were presented in the 2016 financial statements.

18. Objectives and principles of managing financial risk

The Company is exposed to market risk, which encompasses mostly the risk of changing interest rates, but is not exposed to foreign exchange rate fluctuation risk. The Company does not hold and does not issue any financial derivatives held for trading.

The Company has guidelines and recommendations in place for managing financial risk, which define its comprehensive operating strategies, risk tolerance level and the overall risk management philosophy.

No material changes were made to the rules of financial risk management in the 6-month period ended 30 June 2018 compared to the 2017 financial statements.

19. Financial instruments

In the Company's opinion, the fair value of cash, short-term deposits, trade receivables, trade payables, bank loans, other loans, outstanding bonds and finance lease liabilities does not deviate from their carrying amounts. In the 6-month period ended 30 June 2018, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

Fair value of individual classes of financial instruments

	<i>Carrying amount</i>	
	<i>30.06.2018</i>	<i>31.12.2017</i>
<i>Financial assets</i>		
Cash	171,368	185,608
Trade receivables	14,472	30,643
Other financial assets (non-current)	738,809	738,809
Total	924,649	955,060
<i>Financial liabilities</i>		
Trade payables	783,832	765,966
Interest-bearing bank credit and loans:	569,511	494,983
- finance lease and hire-purchase liabilities	102,097	120,365
- Loans and borrowings based on floating interest rate	467,414	374,618
Bonds	100,426	100,404
Total	1,453,769	1,361,353

20. Discontinued activity

The Company has not discontinued any operations in the period covered by these financial statements.

21. Related party transactions

a) Group

The Company functions within the Dino Polska Group.

The Company prepares consolidated financial statements for the group in which it is the parent company.

b) Parent company

Tomasz Biernacki doing business as Zakłady Mięsne "Biernacki" Tomasz Biernacki with its registered office in Czełuścin, Czełuścin 6, 63-830 Pępowo is the Company's parent company.

The size of transactions with the parent company was as follows:

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Procurements	261	208
Sales	-	1

<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Receivables on account of goods, work and services	-	6
Payables on account of goods, work and services	49	105

c) Transactions with other related parties, including parties along with the Company that are under the parent company's joint control

The size of transactions with subsidiaries and associates was as follows:

"Agro-Rydzyna" spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Procurements	346,269	211,998
Sales	1,168	93

<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Receivables on account of goods, work and services	487	324
Payables on account of goods, work and services	88,221	90,367
Other liabilities	-	52

Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Other financial income	-	13

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2018
Additional notes
(in thousands of PLN)

Centrum Wynajmu Nieruchomości spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Procurements	12,971	13,261
Sales	633	1,234
Interest – financial income	756	-
 <i>(in thousands of PLN)</i>	 <i>30.06.2018</i>	 <i>31.12.2017</i>
Receivables on account of goods, work and services	106	718
Payables on account of goods, work and services	3,987	2,162
Loans granted	2,020	-
Other receivables	1	314
Other liabilities	586	73
Other securities	26,515	25,779

Centrum Wynajmu Nieruchomości 1 S.A.

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Procurements	1,942	1,896
Sales	195	217
Interest - financial expenses	48	53
 <i>(in thousands of PLN)</i>	 <i>30.06.2018</i>	 <i>31.12.2017</i>
Receivables on account of goods, work and services	1	-
Payables on account of goods, work and services	1,569	371
Loans received	2,448	2,400
Other receivables	25	16
Other liabilities	116	-

Centrum Wynajmu Nieruchomości 2 S.A.

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Procurements	4,287	4,498
Sales	13	299
Interest – financial income	367	363
 <i>(in thousands of PLN)</i>	 <i>30.06.2018</i>	 <i>31.12.2017</i>
Receivables on account of goods, work and services	1	1
Payables on account of goods, work and services	3,158	830
Loans granted	18,930	18,563
Other receivables	11	-
Other liabilities	560	55

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2018
Additional notes
(in thousands of PLN)

Centrum Wynajmu Nieruchomości 3 S.A.

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Procurements	4,178	4,126
Sales	4	246
Interest – financial income	192	183
<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Receivables on account of goods, work and services	1	-
Payables on account of goods, work and services	3,784	814
Loans granted	9,925	9,733
Other liabilities	519	59

Centrum Wynajmu Nieruchomości 4 S.A.

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Procurements	2,418	2,617
Sales	6	242
Interest – financial income	220	190
<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Receivables on account of goods, work and services	2	-
Payables on account of goods, work and services	920	406
Loans granted	11,555	10,435
Other receivables	-	8
Other liabilities	339	20

Centrum Wynajmu Nieruchomości 5 S.A.

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Procurements	1,703	1,734
Sales	5	219
Interest - financial expenses	16	33
Interest – financial income	13	-
<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Receivables on account of goods, work and services	1	-
Payables on account of goods, work and services	302	295
Loans granted	1,214	401

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2018
Additional notes
(in thousands of PLN)

Loans received	1,017	1,003
Other receivables	-	1
Other liabilities	296	9

Centrum Wynajmu Nieruchomości 6 S.A.

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Procurements	3,495	3,480
Sales	5	314
Interest – financial income	127	171

<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Receivables on account of goods, work and services	2	-
Payables on account of goods, work and services	1,240	657
Loans granted	6,549	6,422
Other receivables	-	158
Other liabilities	545	48

Centrum Wynajmu Nieruchomości Marketing spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Sales	4	4

<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Receivables on account of goods, work and services	1	1

Centrum Wynajmu Nieruchomości Sp. z o.o. Marketing 2 SKA (in liquidation)

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Sales	3	4

<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Receivables on account of goods, work and services	-	1

Dino Krotoszyn spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Procurements	10,632	7,508

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2018
Additional notes
(in thousands of PLN)

Sales	31	152
Interest – financial income	34	-

<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Receivables on account of goods, work and services	6	2
Payables on account of goods, work and services	10,945	3,668
Loans granted	1,762	1,729

Dino Oil spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Procurements	-	4
Sales	4	-
Interest – financial income	1	-

<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Receivables on account of goods, work and services	1	2
Loans granted	41	34

Dino Północ spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Sales	4	4

<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Receivables on account of goods, work and services	24	20

Dino Południe spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Sales	8	4
Interest – financial income	120	-

<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Receivables on account of goods, work and services	1	64
Loans granted	19,027	6
Other receivables	-	1

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2018
Additional notes
(in thousands of PLN)

Pol-Food Polska spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Procurements	3,050	127
Sales	3	-
Interest - financial expenses	885	725

<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Payables on account of goods, work and services	72,039	56,068
Other securities	54,468	55,380

The amount of the transactions with other affiliated companies was:

TBE spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Sales	2	-

<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Receivables on account of goods, work and services	2	1

Krot Invest KR Inżynieria sp. z o.o. SKA

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Procurements	109,740	76,887
Sales	442	311

<i>(in thousands of PLN)</i>	<i>30.06.2018</i>	<i>31.12.2017</i>
Receivables on account of goods, work and services	120	66
Other receivables	17	20
Other liabilities	47,139	41,366

Krot Invest 2 KR Inżynieria sp. z o.o. Sp.k.

<i>(in thousands of PLN)</i>	<i>01.01.2018- 30.06.2018</i>	<i>01.01.2017- 30.06.2017</i>
Procurements	6,146	4,419

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2018
Additional notes
(in thousands of PLN)

<i>(in thousands of PLN)</i>	<u>30.06.2018</u>	<u>31.12.2017</u>
Payables on account of goods, work and services	1,526	1,521
Other liabilities	34	65

The transaction with the management was for the following amount:

<i>(in thousands of PLN)</i>	<u>01.01.2018- 30.06.2018</u>	<u>01.01.2017- 31.12.2017</u>	<u>01.01.2017- 30.06.2017</u>
Key managers (Management Board members)	-	-	-
Supervisory Board	-	-	-

Related party transactions were routine in nature and concluded on the arm's length basis, at prices no different from the prices used in transactions between unrelated parties.

22. Events after the reporting period

No material events transpired up to the date of preparation of these interim condensed financial statements that would require recognition or description hereunder.

Independent auditor's report
on the review of the interim condensed consolidated financial statements

For the Shareholders and Supervisory Board of Dino Polska S.A.

Introduction

We have carried out a review of the enclosed interim condensed consolidated financial statements of the Dino Polska S.A. Group ("Group") whose parent company is Dino Polska S.A. ("Company") with its registered office in Krotoszyn at ul. Ostrowska 122, drawn up as at 30 June 2018, consisting of the following: the interim condensed consolidated statement of profit or loss, the interim condensed consolidated statement of comprehensive income for the period from 1 January 2018 to 30 June 2018, the interim condensed consolidated statement of financial position as at 30 June 2018, the interim condensed consolidated statement of cash flows, the interim condensed consolidated statement of changes in equity for the period from 1 January 2018 to 30 June 2018 and notes and explanations ("interim condensed consolidated financial statements").

The Company's Management Board is responsible for the preparation and presentation of the enclosed interim condensed consolidated financial statements in accordance with the requirements of International Accounting Standard 34 *Interim Financial Reporting* proclaimed in the form of the European Commission's regulations.

We are responsible for formulating a conclusion about the enclosed interim condensed consolidated financial statements on the basis of the review we have conducted.

Scope of the review

We have carried out the review in accordance with the National Review Standard 2410 in the wording of the International Standard on Review Engagements 2410 "*Review of Interim Financial Information Performed by the Independent Auditor of the Entity*" ("standard") adopted in resolution no. 2041/37a/2018 of the National Statutory Auditors Board of 5 March 2018. The review of the interim financial statements involves asking questions, primarily to persons responsible for financial and accounting matters, and carrying out analytical procedures and other review procedures.

The review has a significantly narrower scope than an audit carried out in accordance with National Financial Auditing Standards in the wording of the International Auditing Standards adopted in resolution no. 2041/37a/2018 of the National Statutory Auditors Board of 5 March 2018 and, consequently, the review does not allow us to obtain certainty that we have identified all material issues that could have been identified if an audit had been carried out. Accordingly, we have not expressed an audit opinion.

Conclusion

Based on the review we carried out, we conclude that we have not noted anything that would make us believe that the enclosed interim condensed consolidated financial statements are not compliant, in all material aspects, with the requirements of the International Accounting Standard 34 *Interim Financial Reporting* proclaimed in the form of the European Commission's regulations.

Warsaw, 21 August 2018

Key Statutory Auditor

Łukasz Wojciechowski
Statutory Auditor
no. 12273

acting on behalf of:
Ernst & Young Audyt Polska
spółka z ograniczoną odpowiedzialnością sp. k.
Rondo ONZ 1, 00-124 Warsaw
record number: 130

Independent auditor's report
on the review of the interim condensed financial statements

For the Shareholders and Supervisory Board of Dino Polska S.A.

Introduction

We have carried out a review of the enclosed interim condensed financial statements of Dino Polska S.A. ("Company") with its registered office in Krotoszyn at ul. Ostrowska 122, drawn up as at 30 June 2018, consisting of the following: the interim condensed statement of profit and loss for the period from 1 January 2018 to 30 June 2018, the interim condensed balance sheet as at 30 June 2018, the interim condensed statement of cash flows, the interim condensed statement of changes in equity for the period from 1 January 2018 to 30 June 2018 and notes and explanations ("interim condensed financial statements").

The scope and format of the enclosed interim condensed financial statements for the period from 1 January 2018 to 30 June 2018 follow from the Regulation issued by the Finance Minister on 29 March 2018 on the Current and Periodic Information Transmitted by Securities Issuers and the Conditions for Recognizing the Information Required by the Regulations of a Non-Member State as Equivalent ("Current and Periodic Information Regulation").

The Company's Management Board is responsible for the preparation and presentation of the enclosed interim condensed financial statements in accordance with the requirements of the Accounting Act of 29 September 1994 ("Accounting Act"), the executive regulations issued on that basis and also the requirements prescribed by the Current and Periodic Information Regulation.

We are responsible for formulating a conclusion about the enclosed interim condensed financial statements on the basis of the review we have conducted.

Scope of the review

We have carried out the review in accordance with the National Review Standard 2410 in the wording of the International Standard on Review Engagements 2410 "*Review of Interim Financial Information Performed by the Independent Auditor of the Entity*" ("standard") adopted in resolution no. 2041/37a/2018 of the National Statutory Auditors Board of 5 March 2018. The review of the interim financial statements involves asking questions, primarily to persons responsible for financial and accounting matters, and carrying out analytical procedures and other review procedures.

The review has a significantly narrower scope than an audit carried out in accordance with National Financial Auditing Standards in the wording of the International Auditing Standards adopted in resolution no. 2041/37a/2018 of the National Statutory Auditors Board of 5 March 2018 and,

consequently, the review does not allow us to obtain certainty that we have identified all material issues that could have been identified if an audit had been carried out. Accordingly, we have not expressed an audit opinion.

Conclusion

Based on the review we carried out, we conclude that we have not noted anything that would make us believe that the enclosed interim condensed financial statements are not compliant, in all material aspects, with the requirements of the Accounting Act, the executive regulations issued on its basis and the requirements laid down in the Current and Periodic Information Regulation.

Warsaw, 21 August 2018

Key Statutory Auditor

Łukasz Wojciechowski
Statutory Auditor
no. 12273

acting on behalf of:
Ernst & Young Audyt Polska
spółka z ograniczoną odpowiedzialnością sp. k.
Rondo ONZ 1, 00-124 Warsaw
record number: 130